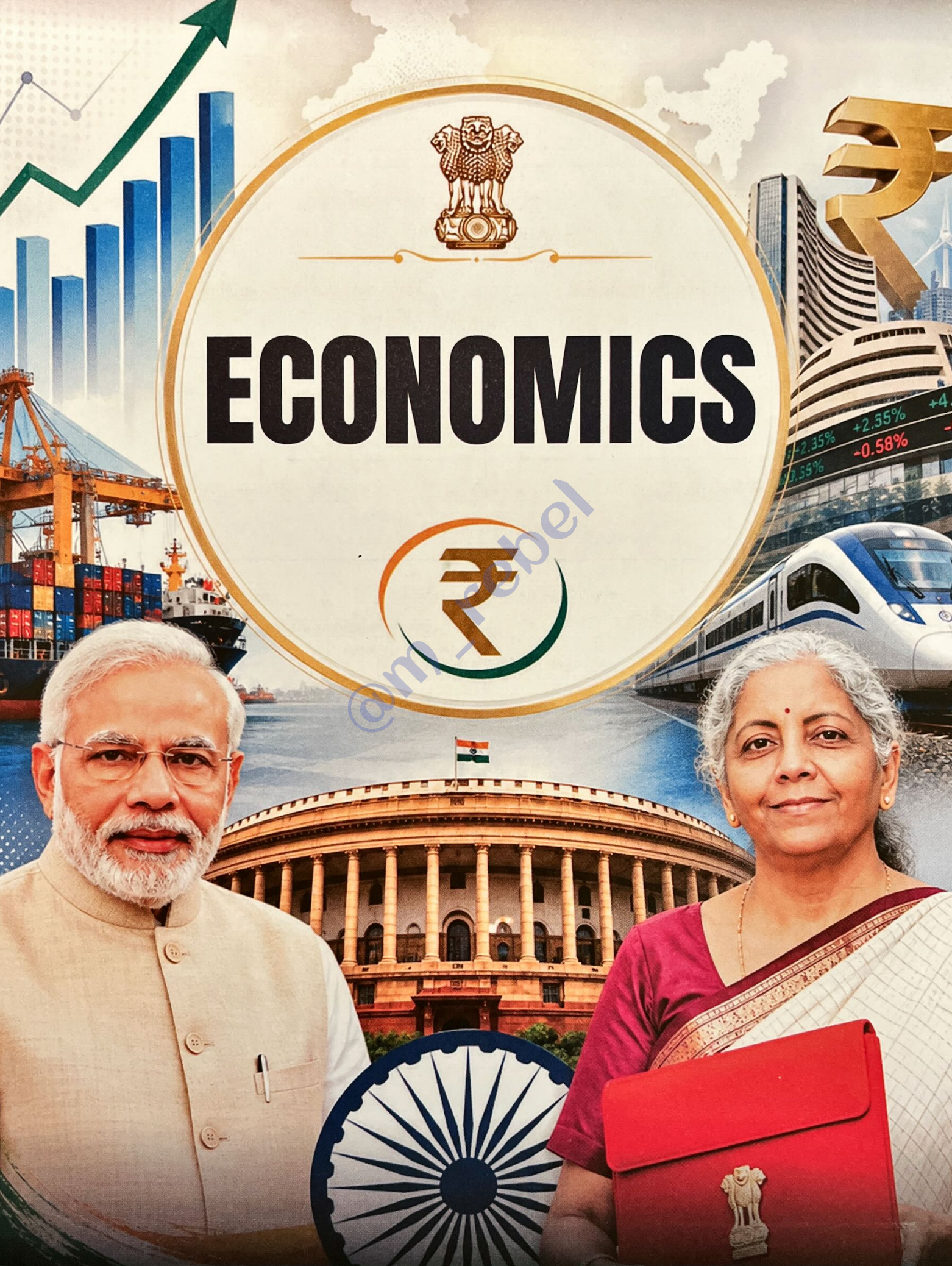
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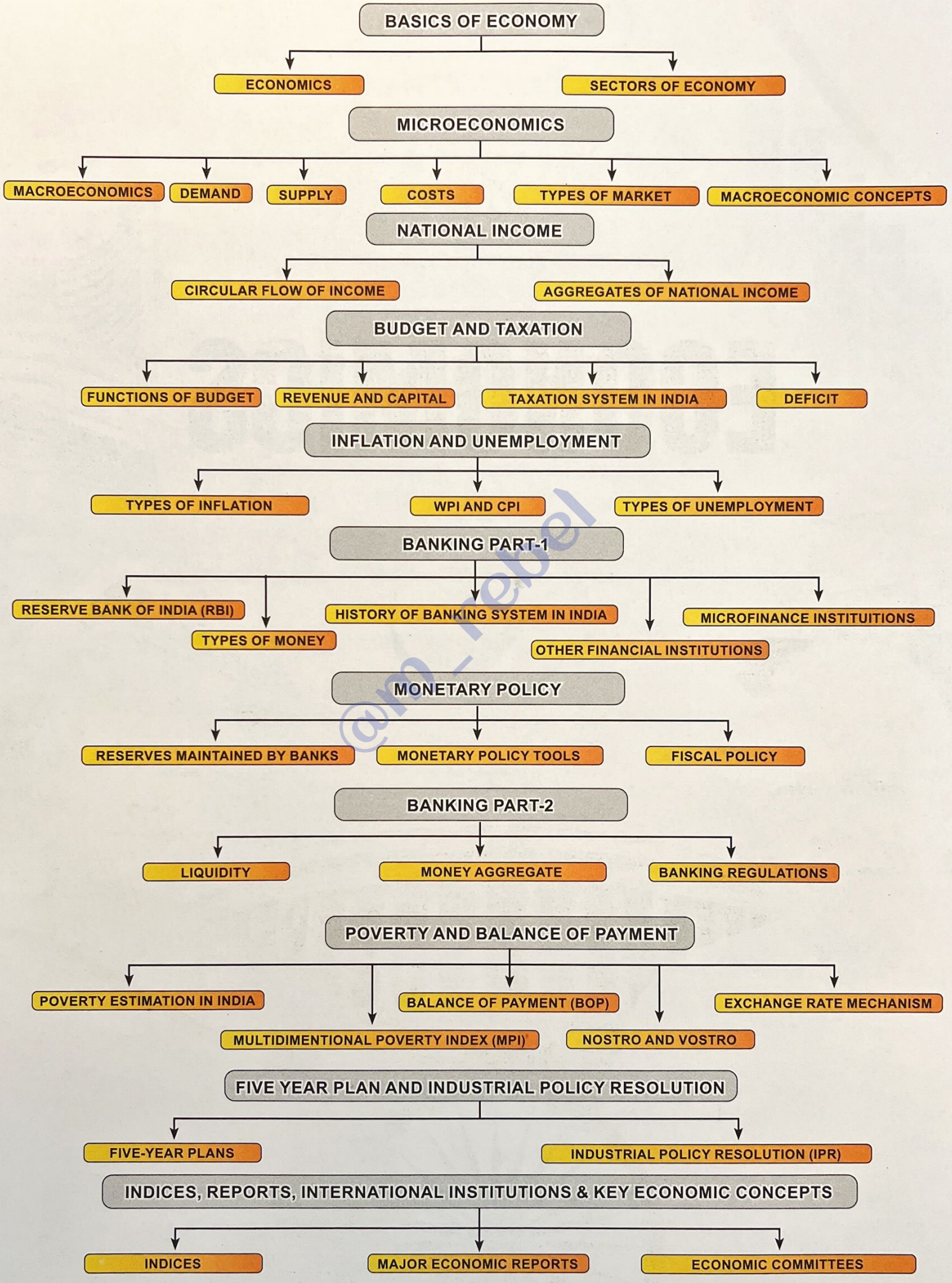
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ECONOMICS

• Economics is the study of how people, businesses, and governments use limited resources to produce, distribute, and consume goods and services. Economics is broadly divided into: *Macroeconomics and Microeconomics.*

Aspects	*Macroeconomics*	*Microeconomics*
Definition	It studies the economy as a whole	It studies individual consumers, firms, and markets
Approach	**Top down**	**Bottom up**
Focus Area	It is focused on the action of government and countries that are taken to influence broader economics like aggregate demand, aggregate supply, prices, etc.	It is focused with the action of individual or businesses including concepts like demand, supply etc.
Scope	Large-scale, entire economy	Small-scale, specific sector
Father	J. M. Keynes (from England) wrote the "General Theory of Employment, Interest and money"	Adam Smith (Founding Father of Modern Economy) wrote the book "The wealth of Nations"
Examples	GDP, inflation rates, fiscal policies, national income, unemployment rates	Pricing of a product, consumer behavior, competition in a market

The economic system can be classified based on Ownership, Motive and Government Role:

1. *Capitalist Economy*
2. *Socialist Economy*
3. *Mixed Economy*

	Capitalist	*Socialist*	*Mixed*
Ownership	Private ownership	Public or State ownership	Public + Private ownership
Economic motive	Profit	Social welfare	Both
Government role	No role	Complete involvement	Limited role
Income distribution	Unequal (High Inequality)	Equal (Theoretically)	Less unequal
Economic freedom	Complete	Lack of freedom	Limited freedom
Example	USA	USSR, North Korea	India

Socialist Economy (Centrally Planned Economy)

Government controls and makes decision regarding production, exchange, and consumption of goods and services. Eg: USSR.

Spillover Effect

Macroeconomics considers "spillover effect", where an event in one part of the economy (or world) impacts others. E.g. The great US depression affecting others

Key Historical Figures & Texts

Adam Smith

Known as: Father of Micro Economics / Father of Modern Economics

Key Work:

• The Wealth of Nations (1776)

Core Ideas:

• ***Invisible Hand:*** Markets regulate themselves through the forces of demand and supply, leading to efficient outcomes.

• ***Market Economy:*** Individuals pursuing their self-interest ("Animal spirit"- by J.M. Keynes) unintentionally promote overall economic welfare.

• ***Laissez-faire Policy:*** Advocated minimal government interference in economic activities.

Alfred Marshall

Also Known as: Father of Microeconomics

Key Work:

• Principles of Economics (1890)

Core Contributions:

• Developed the modern theory of demand and supply.

• Introduced concepts like elasticity of demand, consumer surplus, and partial equilibrium analysis.

John Maynard Keynes

Known as: Father of Macroeconomics

Key Work:

• The General Theory of Employment, Interest and Money (1936)

Core Ideas:

• Unlike the strict Laissez- Faire approach, Keynes argued that government intervention is necessary to manage "Animal spirits" and revive the economy during downturns.

• Supported fiscal policy and public spending to boost demand and employment.

Scarcity Definition of Economics (Given by Lionel Robbins)

Economics is science that studies human behavior as relationship between limited resources and unlimited wants.

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Key wordings

- "Most of the decisions are taken as a result of animal spirits". - *John Maynard keynes*
- "Managing animal spirits requires active role of the government" - *Robert J. Shiller (Nobel Prize-winning economist)*
- "We need to revive the animal spirit in the country's economy" - *Manmohan Singh*

Classification of goods

Goods are classified based on two criteria: Excludability and Rivalry.

Definitions

- *Excludability:* Is it possible to prevent someone who hasn't paid from using the good?
  - *Excludable:* You must pay to use it (e.g. buying a ticket).
  - *Non-Excludable:* You cannot prevent anyone from using it (e.g. air, free YouTube videos).
- *Rivalry:* Does one person's consumption reduce the availability for others?
  - *Rivalrous:* If I consume it, you cannot (e.g. eating an apple, buying a limited edition car).
  - *Non-Rivalrous:* My consumption does not affect yours (e.g. watching a sunset, breathing air).

FOUR TYPES OF GOODS

Classification Based on Excludability and Rivalry

	RIVALROUS	NON-RIVALROUS
EXCLUDABLE	**PRIVATE GOODS** Excludable & Rivalrous. paid for, and consumption reduces availability for others. Examples: Food, clothing, cars, Parking spaces.	**CLUB GOODS** Excludable & Non rivalrous. paid for, but can be shared simultaneously without reducing supply. Examples: Cinemas, Private Parks, Netflix subscription.
NON EXCLUDABLE	**COMMON POOL RESOURCES** Non-Excludable & Rivalrous. Free to access , but finite supply (prone to depletion). Examples: Fish stocks in the ocean, Timber in a forests, coal.	**PUBLIC GOODS** Non-Excludable & Non Rivalrous. Free to all ; one's use doesn't hurt another's. Examples: National Defense, Air, Street Lights, Free-to-air TV.

Opportunity Cost : The value of the next best alternative given up. Natural resources like sunlight often have zero opportunity cost for the consumer.

Free Rider Problem : A challenge with Public Goods where people benefit without paying (e.g., using a street light without paying taxes).

SECTORS OF ECONOMY

There are three sectors of economy on the basis of nature of activities

1. *Primary Sector*
2. *Secondary Sector*
3. *Tertiary Sector*

Primary Sector (Red Collar Jobs)

- This sector is directly dependent on the environment.
- In India Primary Sector is mostly seen in *agricultural activities.*

Eg. Agriculture, Fishing, Hunting, Forestry, Mining.

- During British colonial rule in India, about 85% of the population lived in villages, with nearly 70–75% engaged in agriculture either directly or indirectly for their livelihood.

Agriculture Sector is considered "The backbone of Indian Economy"

Secondary Sector (Blue Collar Jobs)

- It is also called as *Manufacturing Sector.*
- They add value to natural resources by transforming raw materials into valuable products.

Blue-collar jobs involve physical work and use practical skills. These jobs are often in fields like construction, manufacturing, and maintenance.

E.g. Manufacturing, processing, building/construction, electricity etc.

- Secondary Sector is considered *backbone of a country, as it helps in industrialisation of a country*. Eg. China.
- Secondary sector job is not yet developed in India properly because we have directly leaped to tertiary sector.

Tertiary Sector (White Collar Jobs)

- It is also known as *Service Sector.*
- It is a part of economy, where business produce services.

E.g. Teaching, Transport, Advertising, Retail, Hospitality and Healthcare.

- It is mostly *intangible* (something which cannot be touched) in nature.

The Tertiary Sector is further subdivided into two specialized sector based on LEVEL OF KNOWLEDGE and EXPERTISE REQUIRED:

Quaternary Sector

- The Quaternary Sector focuses on knowledge-based activities and intellectual services.

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• This sector is also known as the *"Knowledge Sector"*. E.g. Senior, Business Executive, Teaching, Manager, Banking, Chartered Accountant, Lawyer, Scientists.

Quinary Sector

• The Quinary Sector involves high-level, *knowledge-based activities that require expertise and advanced skills → All the decision making activities are involved here.*

• The activities in this sector are also known as *Gold Collar Jobs.*

E.g. Media, Financial Services, Education, Research Scientists, Information Technology, Policy makers, Activity of Politicians.

According to 2011 Census

	Primary Sector	*Secondary Sector*	*Tertiary Sector*
LFPR	54.6% (Highest)	24.3%	21.1%
% in GDP	14.39%	31.46%	54.15% (Highest)

"LFPR: Labour Force Participation Rate.

• *Percentage of women engaged in Primary Sector: 62.8%*

Sectors: On the basis of employment

Organized sector	*Unorganized sectors*
The organized sectors cover those enterprises where the term of employment is regular.	The unorganized sectors is characterized by small and scattered units which are largely outside the control of government.
They are registered by government. They follow rules and regulations and various laws such as the factories act, minimum wages act, payment of gratuity, shops and establishments act.	Unorganized sector does not follow any rules and regulation pass by the government.
Workers in the organized sector are paid according to prescribed scale. They also get payment in time on regular basis.	Most of the jobs are low paid and often not regular.
They get annual increment and other allowances such as provident fund, payment during holidays, paid leave, gratuity medical benefits, safe working conditions.	There is no provision of over time, paid leave, holidays, leave due to sickness etc.
They can form trade unions.	They cannot form trade unions.

Initiative for unorganised sector:

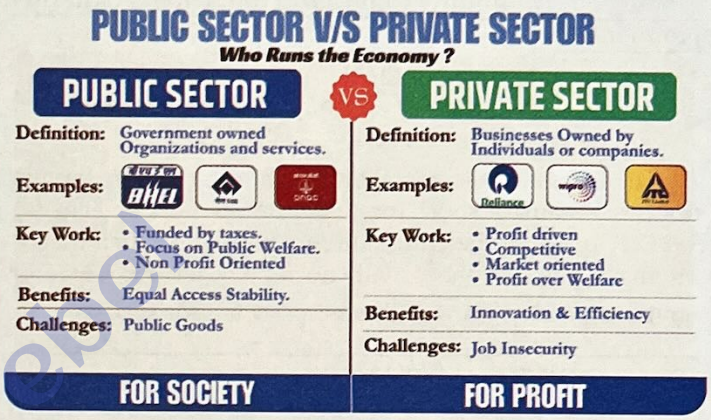
The E-Shram Portal, 2021 is a flagship initiative designed to create a comprehensive National Database of Unorganised Workers (NDUW) seeded with Aadhaar.

Real Vs Financial Sector

• *Real Sector :* It involves the actual production of goods and services using raw materials, such as land and labours.

• *Financial Sector:* Deals with Financial assets like mutual funds, stocks and banking services.

Sectors: On the basis of ownership



Normative Vs Positive Economics

Normative Economics	*Positive Economics*
It is based on opinion and value of the interpreter.	It is based on actual data, facts, and numbers.
Verification is not possible.	Results can be verified
No way to test feasibility and applicability in various field.	Safe and beyond doubt and can be proved scientifically.
It deals with idealistic situation.	It deals with actual and realistic situations.
E.g. The level of unemployment must be 5% maximum.	*E.g. The current unemployment rate is 20%*

Parallel Economy

• Parallel Economy refers to all the forms of activities through which black income is generated and those which are usually not accounted.

• It renders punctuation by Government punctuation.

• Unaccounted income from illegal activities like trafficking.

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MACROECONOMICS

The fundamental problem of economics arises from the conflict between limited resources and unlimited human wants.

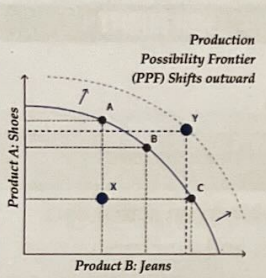
- **Scarcity:** Resources (money, land, labor, time) are finite.
- **Choice:** Because resources are limited, an economy cannot produce everything. It must choose how to allocate resources effectively.

The *production possibility of the economy* refers to all the possible combinations of goods and services that an economy can produce using the available resources and current technology.

Production Possibility Curve/Or Production Possibility Frontier (PPF):

- It is a graph that shows the different combinations of two goods or services that an economy can produce *when all resources are used efficiently.*

E.g. If a person has ₹ 6000, and they have two buying options: 6 pairs of shoes for ₹ 6000 and 6 pairs of jeans for ₹ 6000. Spending the entire amount on one product means buying 6 pairs of shoes with no money left for jeans, or buying 6 pairs of jeans with no money left for shoes.



Graph 1 characteristics:

- It shows the trade-off between two goods (e.g., Shoes and Jeans).
- **Slope:** Downward sloping (Negative slope) because to produce more of one good, you must produce less of the other due to limited resources.

Marginal Rate of Transformation (MRT):

- The slope of the PPC is determined by the MRT.
- It represents the amount of one good that must be sacrificed to produce one extra unit of another good.

- If they want more shoes, they must give up some jeans and vice versa. This also illustrates *inverse relationship* means that as we spend more *money on one product we have less money available for the other product due to limitation on budget.*

At any point

- On the curve: ***Full utilisation of resources***
- Down/under the curve: ***Under utilisation of resources***
- Up/Over the curve: ***Not achievable (due to limited resources).***

Opportunity Cost

- Opportunity cost means the value of *what you give up when you choose one thing over another.*

E.g. If a person has ₹ 6000 and can buy either a pair of jeans or a pair of shoes, choosing the jeans means they miss out on getting the shoes. The shoes are the opportunity cost.

Free Goods: Goods like air and sunlight have no opportunity cost because they are abundant in nature and not scarce. No sacrifice is needed to obtain them.

Utility

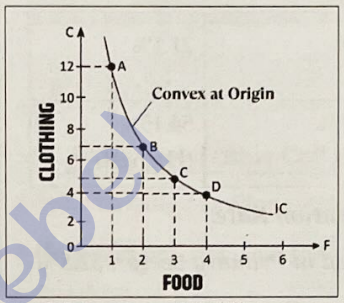
Utility is the satisfaction or benefit derived from consuming a good or service.

Types of Utility Measurement

1. **Cardinal Utility:** Satisfaction is measured in numerical values (Quantitative). *Less realistic.*
2. **Ordinal Utility:** Satisfaction is ranked (Qualitative/ Psychological). *More realistic.*

Indifference Curve

- A consumer's indifference curve is a graph that shows different *combinations of two goods that provide the consumer with the same level of satisfaction or happiness.*



Graph 2: A consumer's indifference curve

E.g. At point A, we have 1 unit of food and 12 units of clothing and point B, we have 2 units of food and 6 units of clothing. Both points make one equally happy, so they lie on the same indifference curve.

Graph Properties

- *Shape: Convex to the origin (Rectangular Hyperbola).*
- *Slope:* Determined by the *Marginal Rate of Substitution (MRS)* - the rate at which a consumer is willing to give up one good for another to maintain the same satisfaction.

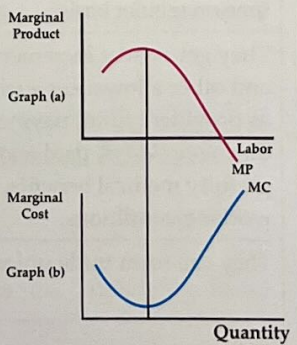
$$MRS = \frac{\Delta \text{ Sacrifice}}{\Delta \text{ Gain}}$$

- *No Intersection: Two ICs never intersect.*

Marginal Utility

The *additional satisfaction or benefit* that a consumer derives from buying an additional unit of a commodity/ service.

- *Marginal Product (MP)* is the additional output produced by employing one more unit of a factor of production (usually labour).
- *Marginal Cost (MC)* is the change in total cost from producing one additional unit.
- *Marginal Revenue (MR)* is the additional income from selling one more unit.



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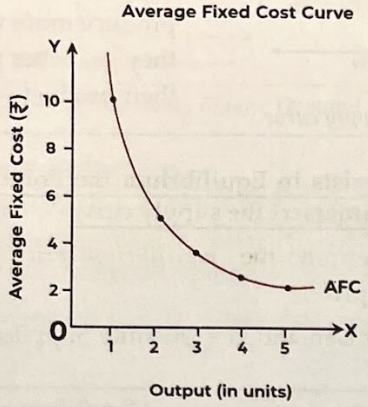
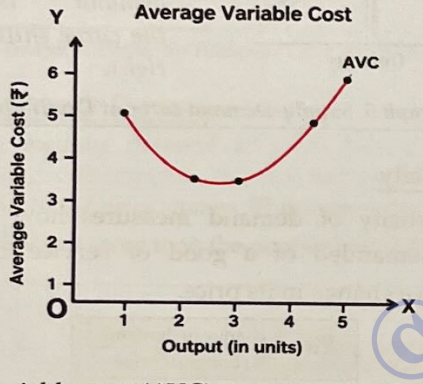
Average fixed cost curve and Variable fixed cost curve

The average fixed cost (AFC) is the total fixed costs (E.g. Rent) that remain constant while the number of goods and services produced by a company changes.



Average variable cost (VC) curve shows the relationship between a firm's variable costs (E.g. Raw materials) and its output level in the short run.

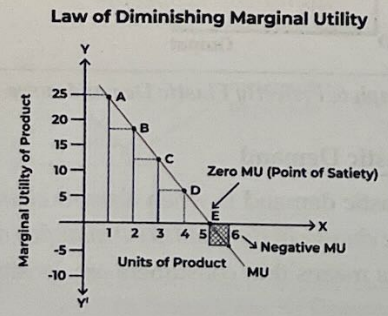


Average variable cost (AVC) + average fixed cost (AFC) = average total cost (ATC)

Law of Diminishing Marginal Utility

- The Law of Diminishing Marginal Utility states that as a person consumes more units of a good, the *additional satisfaction (utility) derived from each extra unit gradually decreases, assuming all other factors remain constant.*

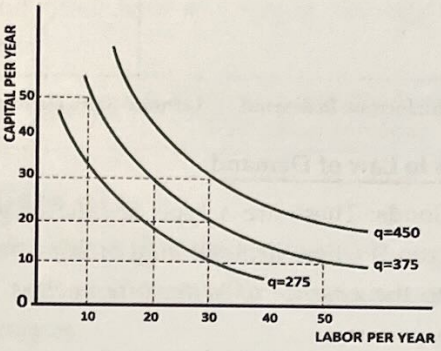
E.g. Jab tum pahla golgappa khate ho toh jo anand ki prapti hoti hai woh dusre golgappe main nahi hoti kyunki dhire dhire additional satisfaction (utility) kam hota jata hai.



ISOQUANT GRAPH

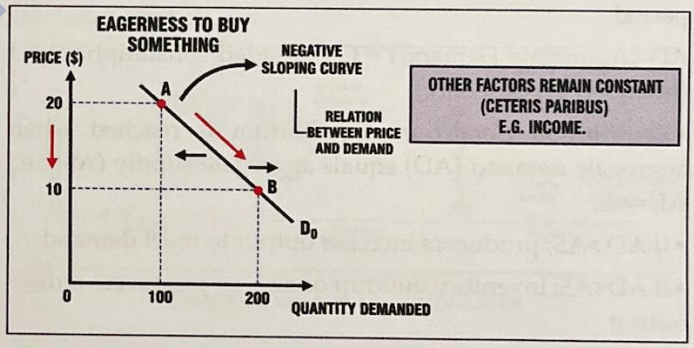
A curve showing combinations of inputs (eg. Labor and Capital) that produce the same quantity of output.

Slope: Marginal Rate of Technical Substitution (MRTS).



DEMAND

- The quantity of a good or service that consumers are willing and able to buy at a particular price during a specific period of time *(willingness + ability).*
- **Law of Demand:** It is a fundamental principle which states that there is an inverse relationship between price and quantity demanded.



- There is an *inverse relationship between price and demand.* When the price of a product increases, people tend to buy less of it and when the price decreases, people usually buy more of it. *However, this is not always true, this is true only under given conditions:*

1. *When income is constant.* [P↑ D↓ / P↓ D↑]
2. *When price of other goods is constant.*
3. *When there is no change in preferences.*

Movement and Shift in Demand Curve

- Movement in demand curve happens when there is a *change in price of the product.*
- Shift in demand curve occurs *when factors other than price change,* such as income, consumer preferences, or the price of related goods changes.

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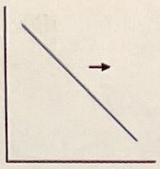
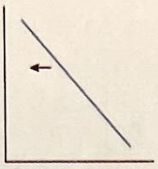
•Shift on the curve can occurs in *rightward or leftward position.*



Rightward Shift: Increase in demand.



Leftward Shift: Decrease in demand.

Exceptions to Law of Demand

•**Giffen Goods:** These are a type of *inferior goods/non-luxurious goods* where *demand may increase when prices rise,* due to the *absence of better alternatives or limited purchasing power.*

E.g. Increase in price of wheat.

•**Veblen Goods:** Veblen goods are *luxury goods* that have a *direct relationship between price and demand*. This means that the demand for Veblen goods *increases as their price increases*, which is the opposite of the law of demand.

E.g. iPhone, Mercedes.

Ex Ante (Expected) Aggregate Demand

Intended expenditure on goods and services during a given period.

AD (Aggregate Demand) = C (Intended consumption) + I (Intended investment).

•*Equilibrium Condition:* Equilibrium is reached when aggregate demand (AD) equals aggregate supply (AS) i.e., AD=AS.

•If AD >AS; producers increase output to meet demand.

•If AD<AS; inventory buildup occurs, so producers reduce output.

NOTE: In macroeconomics treating a single commodity as representative of all goods allows simplification of aggregate analysis because it allows economists to model total production, price levels as a single variable.

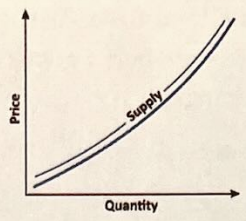
SUPPLY

•Supply is the amount of a product or service that is *available for purchase or use.*

Supply Curve

•A supply curve is a graphical representation of the *relationship between the price of a good or service* and the quantity that producers are willing and able to supply in a given period of time.

•Producer want to maximise profit.

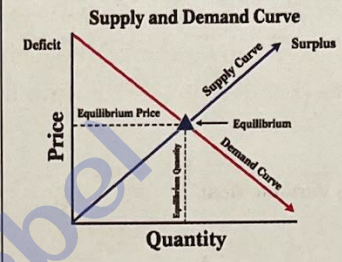


Graph 4: Supply curve

Positive sloping curve is seen. When there is a direct relation between price and quantity supplied. Producers produce more when they get better price for their product.

When things exists in Equilibrium the Point where the demand curve intersect the supply curve

- This determine the *"equilibrium price"* or market clearing price.
- Quantity Demanded = Quantity Supplied.



•*Equilibrium shifts, if any of the factors shift.*
•*If demand decreases, the curve shifts to the left while if the demand increases, the curve shifts to the right.*

Graph 5: Supply-Demand curve at Equilibrium

Price Elasticity

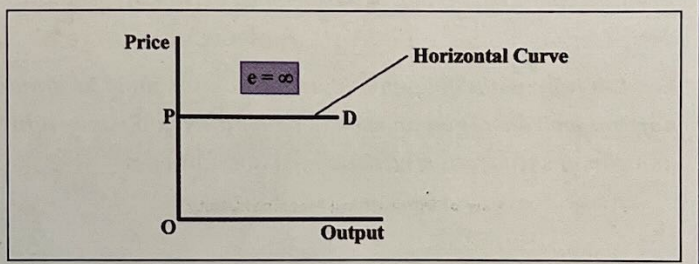
•Price elasticity of demand measures how much the quantity demanded of a good or service changes in response to a change in its price.

$$e_d = \frac{\%\text{ change in demand}}{\%\text{ change in price}}$$

Perfectly Elastic Demand

•In perfectly elastic demand, a *small rise in price results in a fall in demand to zero, while a small fall in price causes an increase in demand to infinity*. In such a case, the demand is perfectly elastic or ($e = \infty$)

E.g. Luxury products such as gold and cars.



Graph 6: Perfectly Elastic Demand curve

Relatively Elastic Demand

•Relatively elastic demand is when a *small change in price leads to a large change in the quantity demanded of a product or service.* This means that consumers are sensitive to price changes.

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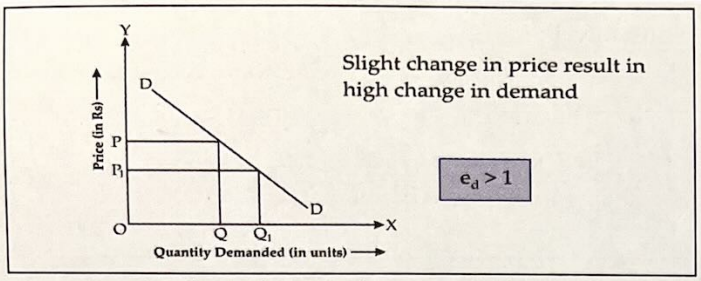
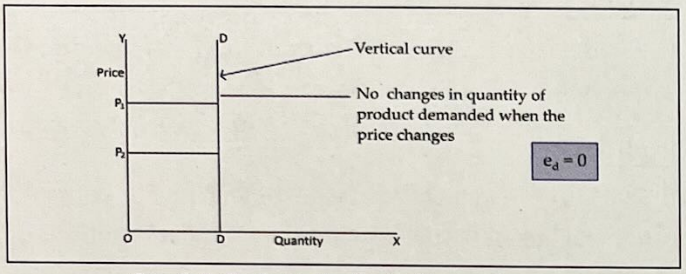


Graph 7: Relatively Elastic Demand curve

Perfectly Inelastic Demand

- Perfectly inelastic demand is *when the demand for a product remains the same regardless of price changes.* This means that the quantity demanded is fixed and does not change.

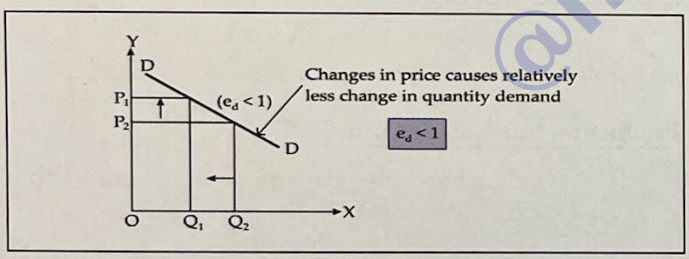
Eg. Necessary goods (water, wheat and rice).



Graph 8: Perfectly Inelastic Demand curve

Relatively Inelastic Demand

- Relatively inelastic demand is *when the demand for a product changes in response to price, but the change is not proportional to the price change.* This means that the price of a product changes more than the demand for that product.

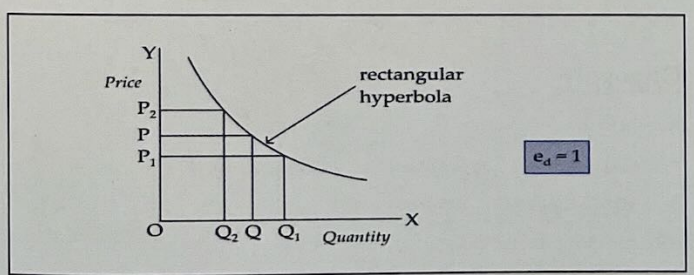


Graph 9: Relatively Inelastic Demand curve

Unitary Elastic Demand

The demand curve for unitary elastic demand is a *rectangular hyperbola.* It occurs when a change (rise or fall) in price results in an equally proportional change in demand.

- In this case total revenue is maximum



Graph 10: Unitary Elastic Demand

Income Elasticity

- Income elasticity of demand measures the relationship between a *change in the quantity demanded for a particular good and a change in real income.*
- For most goods, when income goes up, demand goes up. The demand curve shifts to the right, showing a positive relationship.

$$\text{Income Elasticity} = \frac{\%\ \text{of change in quantity demanded}}{\%\ \text{of change in income}}$$

1. Luxury Goods

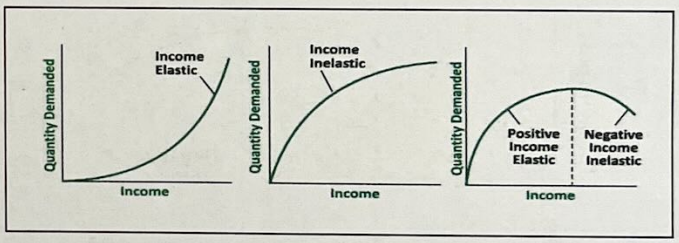
- Income Elasticity of Demand > 1 (Positive)
- Demand increases more than proportionately when income increases.
- People buy these goods mainly when their income rises.

Examples: Luxury cars, designer clothes, expensive vacations.

2. Inferior Goods

- Income Elasticity of Demand < 0 (negative)
- Demand decreases when income increases because consumers switch to better-quality goods.

Examples: Low-quality food grains, public transport instead of cars.

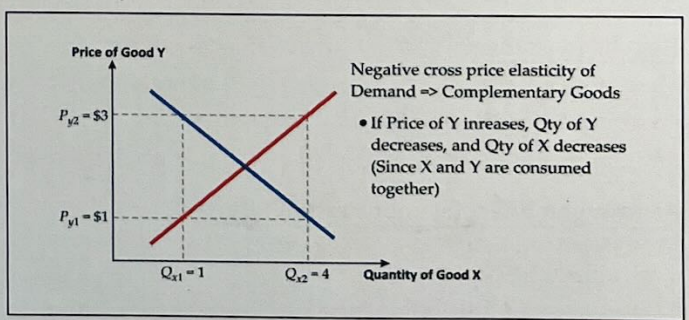


Graph 11: Income Elasticity Curve

Cross-Price Elasticity

- Cross-price elasticity is an economic measure of how a *change in the price of one good affects the demand for another good.*

E.g. If the price of Pepsi rises by 10% and Coke's demand increases by 5%.



Graph 12: Cross-Price Elasticity Curve

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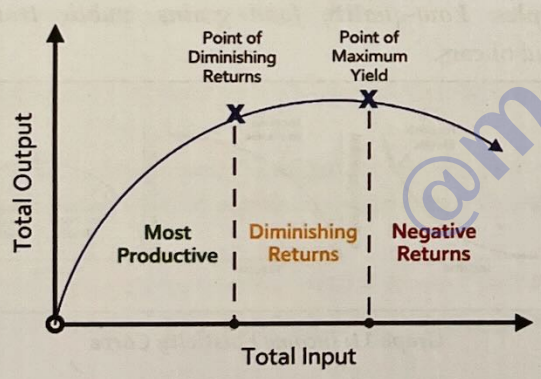
Substitute Goods vs Complimentary Goods

Substitute Goods	*Complimentary Goods*
They refer to those goods which can be used in place of one another to satisfy a particular want.	They refer to those goods which are used together to satisfy a particular want.
They have a competitive demand.	They have a joint demand.
Price of one substitute good, has positive relationship with quantity demanded of another substitute good.	Price of one complementary good has a negative relationship with the quantity demanded of another complimentary good.
E.g. Tea and Coffee, Coke and Pepsi.	*E.g. Tea and Sugar, Car and Petrol.*

Law of Diminishing Returns

After a certain level, additional inputs will lead to smaller gains in output.

It is applicable in short run production [a time period where at least one factor of production (typically capital) is fixed, while others, such as labour and raw materials are variable].



Abnormal Profits

Profits earned by a business firm over and above the opportunity cost of the factor inputs.

Optimum profit

Max achievable profit a business can attain, occurring when marginal revenue (MR) equals marginal cost (MC).

Regulated profit

Maximum earnings, prices, or rate of return set by government authorities for specific industries to prevent monopoly abuses and ensure fair consumer pricing.

Bandwagon Effect (Demonstration Effect)

Increase in demand of a commodity because others are also consuming the commodity.

Eg: Buying 2nd edition of Fatman, buying a new phone in market which everyone is buying.

Snob Effect

Decrease in demand of a commodity because others are also consuming the commodity; It is the opposite of Bandwagon effect.

Eg: Buying a limited-edition watch

COSTS

Fixed Cost

Remains constant regardless of production volume. ***(e.g. Rent, License cost, Registration cost etc.)***

Variable Cost

It fluctuates directly with output ***(e.g. raw materials, shipping.)***

Explicit Cost

It is a direct payment made to others in the course of running a business such as ***wage, rent and materials.***

Sunk Cost

Cost incurred in the past and that cannot be recovered in the future. (***eg: Advertising expense, Legal and accounting fee.)***

Break Even Point of a firm

It is the point where total revenue equals total cost (expenditure). It is the point of *"no profit, no loss"*.

Production function of a firm

It is the relationship between inputs used and output produced.

TYPES OF MARKET

Monopoly

- One seller controls the entire market.
- No close substitutes for the product.
- High barriers to entry.
- *E.g. Indian railways*

Oligopoly

- A few large firms dominate the market.
- Products may be similar or differentiated.
- Many buyers for one product.
- No easy entry.
- *E.g. Telecom sector, laptop market*

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Monopolistic Competition

- Many sellers and many buyers for a product.
- Products are similar but not identical (differentiated)
- Some control over price.
- Easy entry and exit.
- Highly Elastic (but not perfectly elastic)
- *E.g. Toothpaste*

Perfect Competition

- Many buyers and sellers.
- Products are identical (homogeneous).
- No barriers to entry.
- Price is determined by supply and demand.
- Price elasticity: Perfectly Elastic (Ed = ∞)

E.g. Agriculture products

MACROECONOMIC CONCEPT

Marginal Propensity to Consume

- Marginal Propensity to Consume (MPC) refers to the ***portion of additional income that a person spends on consumption rather than saving***. It measures how much consumption increases when income rises by one unit.
- MPC is ***dependent on the income level*** as it may vary with the income levels ***(MPC is lower at higher income levels)***.

$$MPC = \frac{\text{Change in Consumption } (\Delta C)}{\text{Change in Income } (\Delta Y)}$$

- *MPC value: 0 < MPC < 1*
- *E.g. If income rises by Rs. 10,000 and spending increases by Rs. 1,000, then:*

$$MPC = \frac{1000}{10000} = 0.1$$

Autonomous Expenditure

- It is the spending that occurs ***regardless of the level of income*** in an economy. It is ***independent of income***.

$C = A + cY$
A: Income-independent consumption
cY: Income-dependent consumption
- c : Marginal propensity to consume
- Y: Level of income

C: Total consumption

$Savings = 1 - c$

$Multiplier = \frac{1}{1-c}$

$MPC + MPS = 1$

MPC - Marginal Propensity to consume

MPS - Marginal Propensity to save

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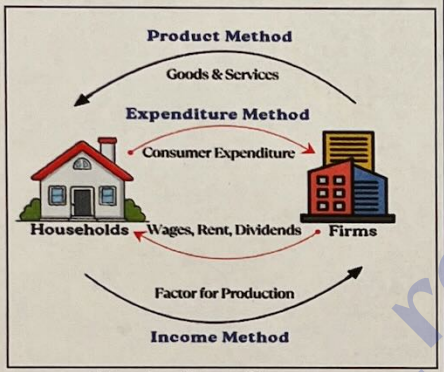
NATIONAL INCOME

- National income is the total value of all goods and services produced by a country's residents in a given year. It is a *"Macroeconomic"* concept.
- For the first time, the concept of *National Income* was given by *Dadabhai Naoroji*.
- *PC Mahalanobis* headed the *National Income Committee (1949)*.
- *V.K.R.V. Rao* used a scientific approach to calculate National Income. *He also gave the two-sector economy classification*.

Circular Flow of Income

- The Circular Flow of Income is a model/concept often used to describe the *continuous movement of goods, services, resources, and money in an economy*.



Circular flow of income

- Households own land, labor, and capital. They provide these to firms in return for income (wages, rent, profits).
- Firms use these resources to produce goods and services and sell them to households.
- Households spend money to buy goods and services from firms (expenditure).
- Firms pay money to households for the resources they use (income).
- This cycle keeps the economy moving by maintaining a continuous flow.

Real Flow

Real flow refers to the movement of goods, services, and factors of production (land, labour, capital, entrepreneurship) between households and firms in the economy.

Money Flow

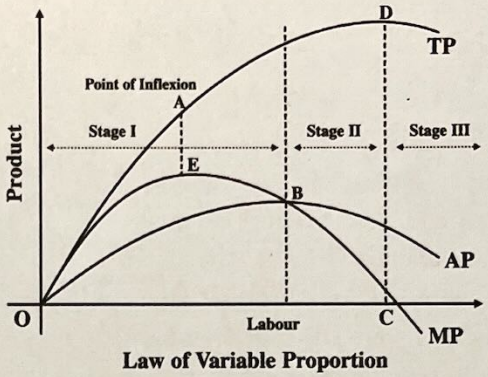
Money flow refers to the movement of money (payments) between households and firms in exchange for goods, services, and factors of production.

Factors of Production	*Factors of Payment*
Land	Rent
Labour	Wages
Capital	Interest
Entrepreneurs	Profit

Law of Variable Proportions

When we increase quantity of one factor of production (e.g. labour) while keeping others fixed.

The total output, first rise at increasing rate, then rise at decreasing rate, then declines.



Law of Variable Proportion

Two-Sector Model :

- This is the simplest model.
- Households and Firms

Three-Sector Model :

- This model introduces the Government sector
- Households, Firms, Government

Four-Sector Model: (Open Economy)

- Households, Firms, Government and Foreign trade

Injection (Money Entering the Economy)

- Injections are additional *funds that enter the economy*, increasing the total spending and income. They help expand economic activity.

Example

- Investment: When businesses spend money on capital goods like machinery or buildings to expand production.
- Government Spending: Public sector expenditure on goods and services like infrastructure, education, or defense.
- Exports: Sales of domestic goods and services to foreign buyers, bringing money into the domestic economy.

Leakage (Money Leaving the Economy)

- Leakages are *funds that exit the circular flow*, reducing total spending and slowing economic growth.

Example

- Savings: When households save instead of spending their income.
- Taxes: When people pay taxes to the government.
- Imports: When people spend money on foreign-produced goods and services.

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Three Methods to Calculate National Income

1. Value Added Method/Production Method/Output Method

• It is a way to calculate the *value of a product or service at each stage of production*. It is also known as production method.

Value added method = Output-Input

Example

Value added in every stage.

Cotton	Yarn	Cloth	Shirt
Rs 100	Rs 200	Rs 400	Rs 800
Rs 100	Rs 100	Rs 200	Rs 400

• **Gross Value Added (GVA):** The value that producers add to goods and services they buy and sell.

$$GVA = GVA_1 + GVA_2 + GVA_3\ GVA + ... GVA_N$$

National Statistics Office (CSO) adopted the GVA in 2015

2. Income Method

This method includes *all the income generated by the factor of production* which are inputs in the process of producing final goods or services, in the entire economy.

Components of Income Method

(a) Compensation to Employees: It refers to the *total wages or salaries paid to workers for their product services.*

(b) Operating Surplus: It refers to the *profit earned by businesses* (profit, rent and interest) *after deducting employees compensation* (wages).

(c) Mixed Income: It is the income earned by *self-employed individuals and unincorporated businesses.* It arises when *elements of factor income (labour and capital) cannot be distinctly separated. E.g. A doctor running their own clinic.*

3. Expenditure Method

It is way to calculate a country's GDP by *adding up all spending on goods and services in the economy*. It's the most common method for calculating GDP.

Expenditure Method = C + G + I + (X–M)
C = Consumption
G = Government Expenditure
I = Investment
X= Export
M = Import

Orange Economy

It refers to the part of the economy that is based on creativity, culture, and intellectual property. It includes activities where ideas, talent, and cultural expression are converted into economic value and jobs.

Examples: Film industry, Music industry, Fashion design.

Final Goods	*Intermediate Goods*
These goods will now not undergo any economic process.	These are semi-finished products that will undergo various economic process and transformation to be converted to final products.
Goods used by the consumer for personal consumption or Investment.	Goods used as inputs for producing other goods and services and will get customised in the process.
Direct consumption or capital investment.	Further processing or resale.
E.g. When you buy tea from a shop for personal consumption, It is a final good.	*E.g. When a tea shop or hotel buys tea to prepare and sell tea to customers, it becomes an intermediate good.*

Every economy faces three fundamental problems due to scarcity of resources:

What to Produce? *How to Produce?* *For Whom to Produce?*

What to Produce?

This problem refers to deciding which goods and services should be produced and in what quantity.

An economy must decide how its limited resources should be allocated between different types of goods.

Types of Final Goods

Consumer Goods

Finished goods that are used directly by individuals for personal consumption and are not used to produce other goods.

Example: Clothes, food, smartphones.

Capital Goods

Goods that are used by businesses to produce other goods and services. They help in production and do not get consumed immediately.

Example: Machines used to produce T-shirts, factory equipment, tools.

Inventory

• It refers to the *items a business keeps in stock for sale or production purposes*. It can include raw materials, work-in-progress items and finished goods, depending on the type of business.

• If the sale of goods increases the inventory decumulates and if the sale of goods decreases the inventory accumulates. It can be either planned or unplanned.

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Aids or Auxiliaries to Trade

Auxiliaries to trade refers to the factors that are essential for bringing the goods from the place of their production to the place of their consumption. In other words, these are essential services and functions that assist the business. *E.g. Transportation, communication, banking, insurance, warehousing, and advertising.*

Stock vs Flow

Stock	*Flow*
Static in nature	Dynamic in nature
It is a quantity measured at a point of time	It is a quantity measured over a period of time
E.g. Wealth, loan, inventory, capital, Money Supply	*E.g. Income, expenditure, change in inventory, depreciation*

AGGREGATES OF NATIONAL INCOME

Gross Domestic Product (GDP)

- GDP measures *total value of all final goods and services* produced within the territory of a country *within a financial year (Financial Year = 1st April-31 March).*

In GDP second hand goods are never counted.

GDP was developed by Russian-American Economist "Simon Kuznets" in 1934.

- While calculating GDP, value of *only final goods is considered* and not intermediate goods to avoid *Double Counting.*

Does GDP Reflect the Welfare of Society?

Although GDP is an important indicator of economic growth and production, it does not fully reflect the welfare or well-being of society.

Limitations of GDP as a Measure of Welfare

1. Ignores Income Distribution

GDP shows the total income of a country, but it does not indicate how that income is distributed among people. A country may have high GDP while many people \ poor.

2. Excludes Non-Market Activities

Activities such as household work, voluntary services, and caregiving contribute to welfare but are not included in GDP because they are not sold in the market.

3. Ignores Environmental Damage

Production that causes pollution or environmental degradation increases GDP but may reduce the overall quality of life.

4. Excludes Quality of Life Factors

GDP does not consider health, education, leisure, safety, or happiness, which are important for social welfare.

5. Underground Economy Not Included

Economic activities in the informal or black market are generally not counted in GDP.

Gross National Product (GNP)

- *Total value of all final goods and services produced by the nationals of the country.*

Net Domestic Product (NDP)

- It is the measure of a *country's economic output* after adjusting for the *depreciation (or consumption) of fixed capital.*

GNP = GDP-Factor Income to Abroad + FI from Abroad

OR

GNP = GDP+Net Factor Income from Abroad (NFIA)

- Monetary Value of an asset *decreases over time due to various factors* (E.g. wear & tear) and is called as *Depreciation.* It is seen in Capital Goods.

NDP = GDP - Depreciation

Net National Product (NNP)

- It is the *monetary value* of *finished goods and services* produced by a *country's citizens in a given period.*

NNP = GNP - Depreciation

Market Price (MP)	*Factor Cost (FC)*
The market price is the final value of the product being sold, which includes indirect taxes.	Factor cost is the cost of factors of production, or total value of inputs, where indirect tax is not included

FC = MP - Indirect tax + Subsidy

FC = MP - (Indirect tax - Subsidy)

FC= MP - Net Indirect Tax

Basic Price = FC + Net production tax

Net production tax = (Production tax - Subsidy)

REMEMBER : Product taxes are levied per unit of goods/ services sold (e.g., GST, excise duty, sales tax), whereas production taxes are paid regardless of output volume, such as land taxes, stamp duties, or license fees.

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Production taxes are independent of production quantity, while product taxes depend on sales volume.

To Summarise

1. Gross से Net में जाना हो तो Depreciation substract करदो।
2. Domestic से National में जाना हो तो NFIA add करो।
3. MP से FC में जाना हो तो Net Indirect Tax को substract करो।

Calculation of income

Nation's Territory = GDP
Nation's People = GNP
Total Income = Total Expenditure = Total value of goods and services

Real GDP vs Nominal GDP

Real GDP	*Nominal GDP*
In this, a base year is taken as reference.	It is more than Real GDP due to Inflation.
It is calculated on constant prices.	It is calculated on current prices.
It is inflation adjusted.	Inflation is not adjusted here.

$$\text{GDP Deflator} = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

- GDP Deflator is also called as *"Implicit Price Deflation"* and *"Price Index"*.
- **GDP of India is calculated by:** *National Statistical Office (NSO) under Ministry of Statistics and Programme Implementation (MOSPI).*
- **The Base Year is considered as:** *2022-2023.*

Per Capita Income

- It is the average amount of money earned by each person in a specific area over a period of time.

$$\text{Per Capital Income} = \frac{\text{National Income}}{\text{Population}}$$

Purchasing Power Parity

- Purchasing power is the amount of goods and services that can be bought with a specific amount of money. It can also be referred to as *"a common basket of goods"*.
- As of *2026, India's GDP* ranked *5th in the world* and *India's economy* ranks at *3rd position in the world* in terms of *Purchasing Power Parity* after *USA* and *China (their economy is inflated)*

Personal Income

- Total income of an individual earned from all the sources before taxes.

Ranking of GDP (Nominal)
1. USA *2. China*
3. Germany *4. Japan*
5. India

PI = National Income (NI) + Income received but not earned-Income earned but not received

OR

PI = NI + Govt. transfers + Net interest paid by Govt. Corporate tax-payment for social security

PI = NI + Transfer Payment - Undistributed corporate profit "Transfer payment example: Government subsidies/ Scholarship/Pension

Personal Disposable Income

- It is the amount of money a *person has after paying taxes* and other mandatory withholding.

Disposable Income = Personal Income - Tax

Potential GDP

- It is the total output an economy would produce if its resources are fully utilised.

Green GDP = GDP-Environmental Damage

Potential GDP-Real GDP = Recessionary Gap

Gross Domestic Capital Formation:

The total investment made within a country in a given period of time to create or Increase physical assets.

E.g. Factory building, New machinery.

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BUDGET

Budget

- It is an approximation of revenue and expenses over a specified period of time.
- *Article 112* of the Constitution of India requires the government to present an *Annual Financial Statement (an estimated statement of Receipt and Expenditure)* to the Parliament.
- The *President of India* is responsible for presenting the Annual Financial Statement to both houses of Parliament.
- Prepared by: *Department of Economic Affairs (Ministry of Finance)*
- Presented by: *Finance Minister*
- The *first Budget* was presented by *R K Shanmukham Chetty* and the *second budget* was presented by *John Mathai*.

Most Number of Budget

1. ***Morarji Desai → 10 budgets (Record holder) 6 times in a row***
2. ***P. Chidambaram → 9 budgets***
3. ***Nirmala Sitharaman → 9 budgets (including 9 consecutive budgets)***
4. ***Pranab Mukherjee → 8 budgets***
5. ***Yashwant Sinha → 8 budgets***

Gender Sensitive Budget: 2005-06

Indira Gandhi is the 1st female Finance Minister of India (temporary)

Child Budgeting was introduced by Govt in: 2008-09

Railway and General Budget

- In *1921*, the *Acworth Committee* recommended *separating the Railway Budget from the General Budget*. In *2016*, based on the recommendations of the *Bibek Debroy Committee*, the Indian government decided to *merge* the *Railway Budget with the General Budget*. This merger was implemented from the *2017-18 financial year*.

Functions of Budget

1. Allocation Functions

- It refers to the process of *dividing resources between public goods and private goods*, essentially deciding which social services and infrastructure projects to fund.

2. Redistribution Functions

- It aims to *reduce income inequality* by using *progressive taxation* (higher tax rates for higher earners) and providing social welfare programs like unemployment benefits.

3. Stabilisation Functions

- It is aimed at maintaining economic stability by adjusting government spending and taxation to counter recession (by increasing spending) or inflation (by decreasing spending).

Asset

An asset is a *resource with economic value* that an individual, a company, or a country owns or controls with the expectation that it will provide a future benefit. E.g. Gold, Property.

Liability

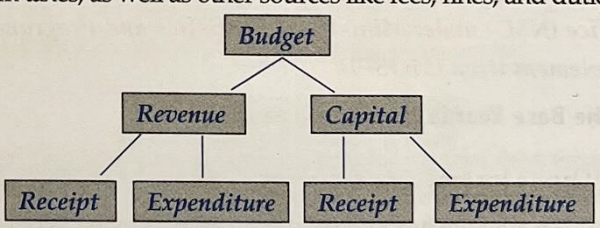
A liability represents the obligation or responsibility to fulfill a debt or duty to another party. E.g. Payment of loan.

REVENUE AND CAPITAL

- Budget is divided into two heads: *Revenue* and *Capital*.

Revenue

- Revenue refers to the funds that a government collects to *finance its activities and public services*. This primarily comes from taxes, as well as other sources like fees, fines, and duties.



- It is of two types: *Revenue Receipts and Revenue Expenditure*

Revenue Receipts

- These are earnings that *do not create liabilities or reduce assets*.
- Revenue Receipts *do not lead to claim on government* and are of *non-redeemable in nature*.

Sub-types

1. ***Tax Revenue:*** The income that is collected by governments through taxation. Eg. Wealth tax.
2. ***Non-Tax Revenue:*** It is the recurring income that is earned from sources other than taxes by the government. E.g. Interest on loans, PSU earnings, railway tickets.

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Revenue Expenditure

- It is the amount of money spent that *does not lead to increase in assets nor decrease in liabilities.*

Sub-Types

1. ***Plan Revenue Expenditure:*** It is a government expenditure that is part of the *plan budget and does not create assets or liabilities.* **E.g. Government grants/financial assistance.**
2. ***Non-Plan Revenue Expenditure:*** It is the money a *government spends on its day-to-day operations, excluding capital expenditures.* ***Eg. Salary/pension, interest payment (largest component of non-plan expenditure), maintenance of infrastructure.***

Capital

- It is the physical or financial resources that is used to produce value in an economy.
- It is of two types: *Capital Receipts and Capital Expenditures.*

Sub-Types

1. ***Capital Receipt:*** They are those receipts which *either create liabilities or reduce the asset value* of the government. It creates new liabilities and reduces an existing asset. E.g. Loan, disinvestment.
2. ***Capital Expenditure:*** It refers to the funds that organizations or governments allocate to acquire, upgrade, or maintain long-term assets such as property, infrastructure, or equipment. *It creates new assets for government and reduces liabilities.* ***E.g. Loan repayment, loan granted, developmental expenditure, infrastructure creation (roads, schools, hospitals).***

Fiscal Consolidation

- Central Government will target reaching a debt-to-GDP ratio of 50±1 % by 2030.
- The debt-to-GDP ratio is estimated to be 55.6 % of GDP in BE 2026-27, compared to 56.1 % of GDP in RE 2025-26.
- In RE 2025-26, the fiscal deficit has been estimated at par with BE of 2025-26 at 4.4 % of GDP. In line with the new fiscal prudence path of debt consolidation, the fiscal deficit in BE 2026-27 is estimated to be 4.3 % of GDP.

Kelkar committee (2002-03): recommended the simplification of direct taxes in post-liberalisation India

Kelkar Committee (2015): recommended improving the PPP model to enhance efficiency and transparency in infrastructure projects

The Raja Chelliah Committee (1991) was set up to reform India's tax system. It recommended reducing personal income tax and corporate tax rates, widening the tax base by removing unnecessary exemptions, simplifying the tax structure, expanding the MODVAT scheme to avoid cascading of taxes, and gradually reducing high customs duties to make the tax system more efficient and growth-oriented.

Taxation System in India

Someone is Blushing!!

Direct Tax

- These taxes are *directly* payable to the government.
- *It cannot be passed onto someone else.*
- Direct taxes are *progressive* in nature.
- Here, the *marginal tax rate is greater than the average tax rate.*

E.g. Income tax, wealth tax, gift tax, capital gain tax, corporate tax.

Indirect Tax

- These are *indirectly* payable to the government.
- *It can be passed onto someone else.*
- Indirect taxes are *regressive/proportional* in nature.

E.g. GST, Excise Duty (petrol, diesel, aviation turbine fuel), Custom Duty.

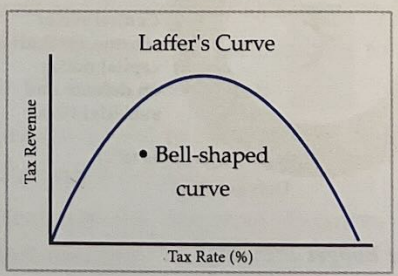
Paper Tax

- Tax which carry their *significance only on paper* and have *no significance in terms of revenue yield* are called paper taxes.

E.g. Wealth tax, gift tax, estate duty (not levied now)

Laffer's Curve

- The Laffer curve is a graph that shows the relationship between the *tax rates and government revenue.*
- The curve suggests that *increasing taxes beyond a certain point can actually decrease the revenue.*
- This is because higher taxes can discourage investment and consumption, and workers may work less if they believe their extra efforts result in lower income.



Laffer Gaya Tel Lane Hum to Tax Lagaeng

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Goods and Services Tax (GST)

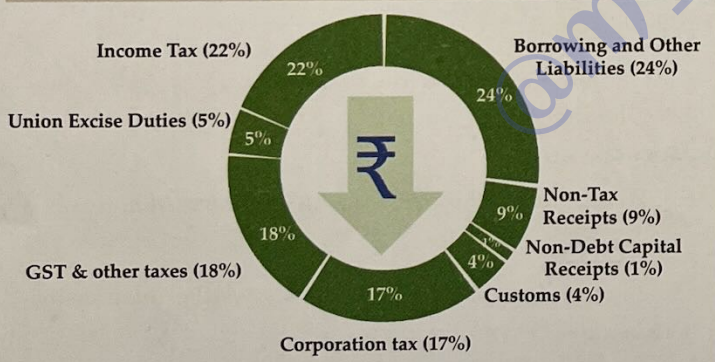
- It was introduced through *101st Constitutional Amendment Act*.
- The tax came into effect by: *1st July 2017*.
- According to *Art 279A*, GST council is a *constitutional body* which consists of *33 members (2 from Centre +31 from States/UTs)*. The Chairman of the GST Council is the *Finance Minister*.

Cascading Tax (Tax on Tax): Cascading tax refers to a situation where tax is levied on a product at every stage of production or distribution without giving credit for the tax already paid, resulting in tax being charged on previously paid tax, which increases the final price of the product.

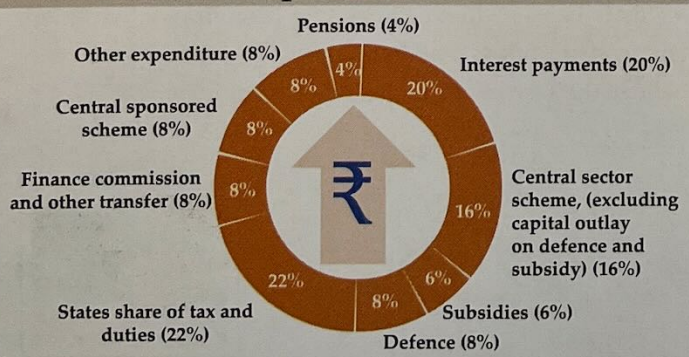
Other Taxes

- ***Surcharge:*** An *additional tax on income tax* for taxpayers above a certain income threshold.
- ***Cess:*** A *tax on tax liability* that is levied for a specific purpose → ***Surcharge*** and ***Cess*** are *levied by Central Government but not shared with the states*.
- ***Pigouvian Tax:*** A *tax on activities that cause negative externalities*, or external costs that are not included in the market price. It is levied to lower the negative externalities.

Rupee Comes From



Rupee Goes To



As Per Budget 2025-2026

WMA,1997 (Ways and Means Advances) Agreement

As per the agreement, the Central Government would meet temporary mismatches between receipts and expenditure through Ways and Means Advances (WMA) provided by the RBI.

Purpose: To manage temporary shortages in government cash flow, not a permanent source of finance.

Fiscal Responsibility and Budget Management Act, 2003 (FRBM)

- The Fiscal Responsibility and Budget Management (FRBM) Act was enacted to ensure fiscal discipline and responsible financial management by the Government of India.
- The FRBM Act was passed in *2003* to reduce fiscal deficit and improve transparency in government finances. It aimed to limit fiscal deficit to around *3% of GDP* and promote prudent management of public debt.

FRBM Review Committee

- It was formed on *May 2016* and headed by *NK Singh*. He gave few recommendation as below
- Debt-GDP Target: Total public debt should be 60% of GDP (40% for Centre + 20% for States).
- Fiscal Deficit Target: Reduce fiscal deficit to 2.5% of GDP in the medium term by 2023
- Escape Clause: Government can deviate from fiscal deficit target by 0.5% of GDP in exceptional situations like war, national security issues, natural disasters, or economic slowdown by 2023
- Fiscal Council: Recommended setting up an independent Fiscal Council to monitor fiscal discipline

1. ***Medium Term Fiscal Policy Statement:*** This statement outlines a *3-year rolling target for key fiscal indicators*, such as revenue and fiscal deficits etc.
2. ***Fiscal Policy Strategy Statement:*** This outlines the government's *financial goals* and the methods it plans to use to achieve them.
3. ***Macroeconomic Framework Statement:*** This provides an *overview of the country's economic situation*, including details like the GDP growth rate.

Table 1: Deficit and debt targets (% of GDP)

Year	Fiscal Deficit	Revenue Deficit	Debt
2017–18	3.0%	2.1%	47.3%
2018–19	3.0%	1.8%	45.5%
2019–20	3.0%	1.6%	43.7%
2020–21	2.8%	1.3%	42.0%
2021–22	2.6%	1.1%	40.3%
2022–23	2.5%	0.8%	38.7%

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Crowding In:

Crowding in occurs when government spending (especially on infrastructure and public investment) encourages and stimulates private sector investment, leading to higher overall economic activity.

Crowding Out:

Crowding out occurs when increased government borrowing or expenditure raises interest rates and reduces private sector investment, as the government competes with the private sector for available funds.

A Budget can be classified into three types:

1. ***Balanced Budget:*** It is a condition where the total revenues are equivalent to the total expenditure *(Receipt = Expenditure)*.
2. ***Surplus Budget:*** It is a condition when total income or receipts exceeds its total expenditures *(Receipt > Expenditure)*.
3. ***Deficit Budget:*** It is a condition when expenses exceed the revenue *(Expenditure > Receipt)*.

Deficit Financing (By J.M Keynes)

Deficit financing refers to a situation where government expenditure exceeds its revenue and the gap is financed by creating new money or by borrowing funds.

Methods of Deficit Financing:

Debt Financing:

It refers to raising funds through borrowing, where the government or a firm takes loans from banks, financial institutions, or issues bonds and the amount must be repaid with interest.

Equity Financing:

It refers to raising funds by issuing shares, where investors become owners (shareholders) of the company and share in profits through dividends, without any obligation to repay the capital.

Deficit

- A deficit is when the expenses exceed revenue.

Types of Deficit

1. ***Budgetary Deficit:*** It occurs when government's total expenditures exceed its *total revenues from taxes and other sources*. This indicates that the government is spending more than it is earning, leading to borrowing.

   Budgetary Deficit = Total expenditure - Total Receipt

2. ***Revenue Deficit:*** It occurs when a *government's revenue expenditure exceeds its revenue receipts.*

   Revenue Deficit = Revenue Expenditure - Revenue Receipt

3. ***Effective Revenue Deficit:*** It is the difference between *revenue deficit and grants used to create capital assets.*

   Effective Revenue Deficit = Revenue Deficit - Grant given for the developmental purpose

4. ***Fiscal Deficit:*** It represents the total borrowing requirement of government. It occurs when *total government expenditure exceeds the sum of total receipts (excluding borrowings).*

   Fiscal Deficit = Total Exp - [Total receipt-Debt creating Capital Receipt)
   (Loans/Borrowing)

   OR

   Total expenditure - (RR+Non debt Capital Receipt)

5. ***Primary Deficit:*** It is defined as the difference between the *fiscal deficit and the previous year interest payments of the government.*

   Primary Deficit = Fiscal Deficit - Interest Payment

Externalities: An externality is an indirect cost or benefit to an uninvolved third party that arises as an effect of another party's activity. It can be Positive or Negative.

16th Finance Commission

The Finance Commission is a constitutional body under *Article 280* of the Constitution of India, constituted by the President every *5 years* to recommend the distribution of tax revenues between the *Centre and the States*.

The *16th Finance Commission* was constituted on *31 December 2023* under *Article 280(1)* of the Constitution. The Chairman is *Arvind Panagariya* and the commission consists of *1 Chairman and 4 Members*.

Its functions include recommending:

- ***Vertical Devolution*** – It refers to the share of the total divisible pool of central taxes given to all states collectively. The Government has accepted the recommendation of the Finance Commission to retain the vertical share of devolution at *41%*.
- ***Horizontal Devolution*** – It determines how that *41%* share is distributed among individual states. It is determined by *Income Distance (42.5%), Population (17.5%), Area (10%), Forest* and *Ecology (10%), Demographic Performance (10%)* & a *10%* weight for contribution to *GDP* (added through 16th Finance Commission)
- Grants- in-aid to states from the Consolidated Fund of India under *Article 275*.
- Measures to improve finances of Panchayats and Municipalities.

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Fiscal Matter (Budget context):

Table 2: Criteria for distribution of central taxes among states		
Criteria	**15th " FC (2021-26)**	**16th " FC (2026-31)**
Income Distance	45%	42.5%
Population (2011)	15%	17.5%
Demographic Performance	12.5%	10%
Area	15%	10%
Forest	10%	10%
Tax and Fiscal Efforts	2.5%	-
Contribution to GDP	-	10%
Total	**100%**	**100%**
Sources: Reports of the 15th and 16th Finance Commissions; PRS.		

A provision of ₹1.34 lakh crore has been made to the states for *FY 2026-27* as Finance Commission grants, including Rural & Urban Local Body grants and Disaster Management grants.

Operation Twist

Operation Twist is a monetary policy tool used by the Reserve Bank of India in which it simultaneously buys long-term government securities and sells short-term securities to reduce long-term interest rates and manage the yield curve. When RBI buys long-term bonds, their prices increase and yields fall, making long-term loans cheaper.

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INFLATION

- *Inflation is increase in the general level of prices of Goods and Services.*
- Purchasing power *decreases* in case of inflation.
- During inflation the *debtor/borrower benefits more than the lender.*

E.g. If you borrow ₹ 10,000, from a lender at a fixed interest during inflation, the money you repay is worth less than when you borrowed it. As when inflation occurs, the general price goods and services increases, meaning the value of money decreases. When you repay the ₹ 10,000, the money you return has less purchasing power than when you borrowed it.

Real Interest Rate = Nominal Interest Rate - Inflation

Fisher's Quantity Theory

- Irving Fisher gave the *"Money Illusion"* concept.
- Fisher's Quantity Theory explains the relationship between money supply, velocity of money, price level, and transaction.

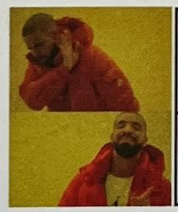
$MV = PT$

M = Money Supply *P = Price Level*
V = Velocity of Money *T = Transaction*

- The equation suggests that an *increase in the money supply (M) will lead to an increase in the price level (P) assuming that the velocity of money (V) and the level of transactions (T) are constant.*
- The theory also implies that changes in the money supply have a *direct impact on inflation*, as an increase in the money supply leads to an *increase in the price level*, which in turn *reduces the purchasing power of money.*

Types of Inflation

1. *Creeping: 3-4%*
2. *Walking: 4-10%*
3. *Running: 10-20%*
4. *Galloping: 20-100%*
5. *Hyper: >100%*



Mehngai Daayan khaae jaat hai ✗

Inflation Daayan khaae jaat hai ✓

Inflationary Gap: When Demand exceeds Supply. In this case Actual GDP exceeds Potential GDP

Seigniorage

The profit earned by the central bank by printing currency .

Seigniorage is the profit earned by central bank through issuing currency, calculated as the difference between the face value of money and its production cost.

Seigniorage = Face value - Production cost

Causes of Inflation

Demand Pull Inflation	*Cost Push Inflation*
It is caused by an increase in demand (demand side inflation)	It is caused by an increase in production costs (supply side inflation)
It can be caused by strong economic growth, increased government spending or increased exports	It can be caused by increased wages, raw material prices, or indirect taxes
It can be short-term	It can be long-term
"Too much money chasing too few goods", an expression that describes demand-pull inflation	Increase in cost of any factors of Production and Input Cost

Measurement of Inflation

- Wholesale Price Index (WPI) and Consumer Price Index (CPI) is used to measure inflation.

Inflation Rate Formula

To find the percentage rate of inflation between two years:

$$\text{Inflation Rate} = \frac{(\text{Current Year Index} - \text{Previous Year Index})}{\text{Previous Year Index}} \times 100$$

Wholesale Price Index (WPI)

- It measures the average change in prices of goods at the *wholesale level.*
- It also reflects the change in prices of goods before they reach consumers.
- ***Published by:*** *Office of Economic Adviser (OEA) under Ministry of Commerce and Industry*
- Base Year: 2022-23 *(Previously by : 2011-12)*
- It is published: *Monthly (14th day of each month)*

Weightage Distribution in WPI

- *Manufactured goods (64.2%)*
- *Primary articles (22.6%)*
- *Fuel and power (13.15%)*

$$WPI = 100 \times \frac{\text{Cost of a fixed basket of goods in the current year}}{\text{Cost of fixed basket of goods in base year}}$$

Consumer Price Index (CPI)

- It measures the average change in prices of goods and services at the *consumer / retail level.*
- It reflects the cost of living for consumers.
- ***Released by:*** *National Statistical Office (NSO) under Ministry of Statistics and Programme Implementation (MOSPI)*
- Base Year : 2023-24.
- Frequency: *Monthly (usually 12th day of each month)*

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Weightage Distribution in CPI:

- *Food and Beverages (highest 45.8%)*
- *Housing (10%)*
- *Fuel and power (6.8%)*

$$CPI = 100 \times \frac{\text{Cost of a fixed basket of goods and services in the current year}}{\text{Cost of a fixed basket of goods and services in base year}}$$

Four types of CPI are as follows

- *CPI for Industrial Workers (IW) Base year: 2016*
- *CPI for Agricultural Labourer (AL) Base year: 2019*
- *CPI for Rural Labourer (RL) Base year: 2019*
- *CPI (Rural/Urban/Combined)→ Base Year: 2024, published by National Statistical Office (NSO) under MoSPI*

• CPI-AL, CPI-RL, CPI-IW released by the Labour Bureau

- *CPI combined is used by RBI for inflation targeting and formulating monetary policy.*

Producer Price Index :– Measure the average change in selling prices received by domestic producers for their output.

• ***Perspective*** :– Unlike CPI (buyer's perspective), PPI looks at inflation from the seller's perspective.

• ***Significance*** :– It captures price changes at the "factory gate" before taxes and distribution costs are added.

• It is considered a leading indicator because cost increases here are usually passed on to consumers later.

Monetary Policy Framework Agreement (MPFA)

It was signed between *GoI & RBI in Feb, 2015*
It mandates the RBI to maintain price stability while keeping growth in mindset with a goal to maintain *CPI Inflation at (4 ± 2)%*

Core Inflation

• Core inflation is a measure of inflation that *excludes food and energy prices*. It's calculated using the consumer price index (CPI)

Core Inflation = Headline Inflation-Volatile Inflation

Index of Industrial Production (IIP)

• It is a statistical indicator that measures the *growth of industrial production in a country over time.*

- *Base Year: 2022-2023.*
- *Published by: National Statistical Organisation (NSO) under MOSPI.*

• *Eight* core industries have 40% contributions in IIP in decreasing order:

Refinery Products → Electricity → Steel → Coal → Crude Oil → Natural Gas → Cement → Fertilizers

TYPES: INDICATOR AND DYNAMICS OF INFLATION

Disinflation

• *The decrease in the rate of inflation, while prices may still be rising.*

• It is measured by the change in the inflation rate from one year to the next.

• *Cause:* A slowdown in the economy's money supply through a tighter monetary policy.

10% 8% 7% 5% — Decrease in inflation rate over the years

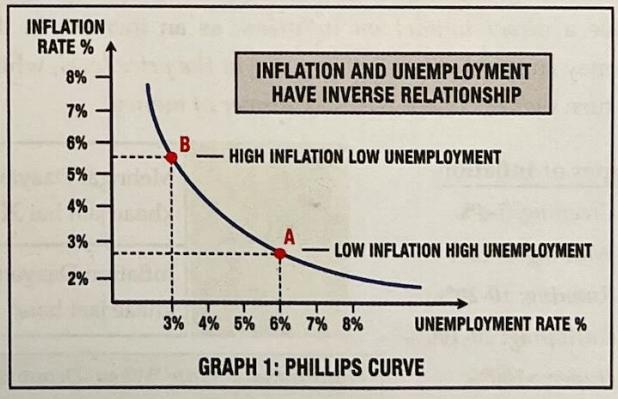
Deflation

• It is a *general decrease in price of goods and services. In deflation purchasing power increases.*

• *Cause:* Reduced money supply, reduced investment, or lower production.

Phillips Curve

• It is a graph that shows the relationship between *unemployment* and *inflation* in an economy.



GRAPH 1: PHILLIPS CURVE

Stagflation

• It is a period of *high inflation and low economic growth*. It's a combination of the words "stagnation" and "inflation" *(Stagflation = Stagnation + Inflation)*

• When stagflation increases, *high unemployment* is a direct consequence.

• *Cause:* When the production of goods and services in an economy slows down or declines.

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Shrinkflation

A situation where the price of a product remains the same but the quantity or size of the product is reduced, effectively increasing the price per unit.

Bottleneck Inflation

A situation where production or supply is restricted at a particular stage of the production or distribution process, causing a slowdown and leading to shortages and price rise.

Skewflation

A situation where prices of essential goods (especially food items) rise sharply while prices of non-essential goods remain stable or rise slowly, causing an uneven or skewed pattern of inflation in the economy.

Reflation

A deliberate government policy to increase the level of economic activity and prices by increasing money supply, government expenditure, or reducing taxes, usually to recover from recession.

Imported Inflation

Inflation that occurs when the prices of imported goods and raw materials increase, which raises the overall price level in the domestic economy.

Inflationary Gap

The excess of aggregate demand over aggregate supply at full employment level, which leads to upward pressure on prices.

Inflation Target

The specific rate of inflation that a country's central bank aims to maintain through monetary policy to ensure price stability.

UNEMPLOYMENT

- Unemployment refers to a situation when a person actively searches for the job but is unable to find work.

National Sample Survey Office (NSSO) uses three methods to measure Unemployment.

1. Usual status approach
2. Current weekly status approach.
3. Daily status approach.

Unemployment

Parmar Sir to students: "Dil dukha hai lekin tuta toh nahi aur ummeed ka daaman abhi chhuta to nahi hai".

A. Usual Status (US) Approach

Reference period: Last 365 days (1 year) preceding the date of survey.

- Used to identify long-term or chronic unemployment.
- Usual Status has two components:

1. *Principal Status (PS)*

The activity in which a person spent most of the time during the last 365 days.

- Determined using the majority time criterion.

2. *Subsidiary Status (SS)*

A person may perform additional economic activity for at least 30 days during the year apart from the principal activity.

- This is known as Usual Status (PS + SS).

B. Current weekly status (CWS):

In labour force for last 1 week; If able to find work for at least 1 hour on any 1 day → Employed

C. Current Daily Status (CDS):

It measures the intensity of unemployment
In labour force for 1 day;
If work >4hrs=100% engaged
If work 1-4hrs=50% engaged
If work <1hr= unemployed

UNEMPLOYMENT MEASUREMENT

- ***Labour Force Participation Rate (LFPR):*** The percentage of persons in the labour force (working or available for work) in the population.
- ***Worker Population Ratio (WPR):*** The percentage of employed persons in the population.
- ***Unemployment Rate (UR):*** The percentage of person unemployed among the persons in the labour force.

Types of Unemployment

Structural Unemployment

- A type of unemployment that occurs when there is a ***mismatch between the skills of the workforce and the skills required for available jobs.***

E.g. An advancement in technology like advanced machinery can replace farmer labour.

Educated Unemployment

- Educated unemployment is when people with ***academic degrees are unable to find employment***. It can also be called ***graduate unemployment***.
- It is seen in ***urban*** part of India.

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E.g. An engineering graduate, who is unable to find a job in their field because they lack practical skills.

Frictional Unemployment

- A *short-term* type of unemployment that occurs *when people search for better job* that's why it is also called *Search/Voluntary unemployment*.

E.g. An employee leaving a current job to move to a better one as frequently seen in urban cities.

Disguised Unemployment

- A type of unemployment where *more people are working than actually needed*, meaning their removal *would not affect productivity*.

Eg. A family of five works on a farm in rural area that could be run by three people.

Cyclical Unemployment

- A type of unemployment that occurs when the *labor force is reduced* due to *business cycles or economic fluctuations*. When economy revives, there is an opportunity to employment (mostly seen in *urban areas*).

E.g. Great Recession.

> **NOTE:** *Great Recession*
>
> Significant prolonged downturn of economic activity for 2 or more consecutive quarters E.g : US Subprime Lending crisis whereas prolonged recession is termed as depression. E.g. Great depression of USA (1929-1939)

Seasonal Unemployment

- A type of unemployment that occurs during specific times of the year. The employment is based on *seasonal basis and is mostly seen in rural part of India*.

Ex: Lights or firework sellers during Diwali.

Classical Unemployment

- It is also known as *real wage unemployment*, it occurs when the *real wage for a job is too high, which leads to more job seekers than job openings.*

E.g. When workers negotiate for a minimum salary that's more than what a company can afford.

Natural Unemployment

- Natural unemployment refers to the *lowest unemployment level* a healthy economy can *sustain without causing inflation*.

Marginal Worker vs Main Worker

Marginal Worker	*Main Worker*
Marginal worker is someone who is employed for less than 6 months or 183 days.	Main worker is someone who is employed for more than 6 months or 183 days.
E.g. Landless agricultural laborers and people who work in low-wage industries.	E.g. Construction workers, seasonal employees, independent contractors.

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BANKING: PART 1

Reserve Bank of India (RBI)

- Reserve Bank of India (RBI) was established as an independent body based on the recommendations of *Royal Commission* on Indian Currency & finance. It was headed by *Hilton Young in 1926*.
- The RBI was officially established under the *Reserve Bank of India Act* in *1934* and started operations on *1st April 1935* in *Calcutta*.
- RBI was nationalised on *1st January 1949*.
- The headquarter was moved to *Mumbai* in *1937*.
- First Governor of RBI: *Sir Osborne Smith*
- First Indian Governor of RBI: *Sir CD Deshmukh*

Logo of RBI features a tiger and a palm tree.

Central Board of Directors

- It is the apex governing body of the Reserve Bank of India (RBI), established under the RBI Act of 1934 to provide direction to the bank's affairs. Appointed by GOI for 4 years.

The Board comprises

- The Governor (Chairperson)
- 4 Deputy Governors (full-time)
- 10 non-official directors from various fields
- 2 government officials (Ministry of Finance)
- 4 directors representing the Local Boards.

RBI introduced Banking Ombudsman scheme in: 1995
Fixed Rate Repo were announced by Govt in 1997

LEAD BANK SCHEME

- Launched by the RBI in December 1969.
- It assigns a specific public or private sector bank to lead the development of banking and credit services in a particular district.
- It promotes an *"Area Approach"* to enhance rural credit, financial inclusion, and priority sector lending (PSL).

Functions of RBI

1. ***Regulator of Banks:*** RBI under the *Banking Regulation Act of 1949*, holds extensive authority to regulate the country's banking system and hence called as *"Bank of Banks"*. ***E.g. It grants licenses to banking companies, ensuring they meet specific criteria before commencing operations, regulation of Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR), the RBI also influences interest rates through monetary policy instruments like the repo rate (the rate at which banks borrow from the RBI).***

Narasimham Committee - I (1991)

Focus: Banking sector reforms & liberalisation.

Key Recommendations:

- Reduction in SLR and CRR to improve liquidity in the banking system.
- Introduction of prudential norms for income recognition, asset classification, and provisioning.
- Adoption of capital adequacy norms (as per Basel standards)
- Greater autonomy to banks and reduction in government interference.
- Promotion of a competitive and efficient banking system.
- Entry of private sector banks.

Narasimham Committee - II (1998)

Focus: Strengthening reforms & global competitiveness.

Key Recommendations:

- Reduction of Non-Performing Assets (NPAs)
- Strengthening of banking supervision and regulation.
- Consolidation and merger of banks to create strong global banks.
- Creation of Asset Reconstruction Funds/Companies (ARCs) to deal with bad loans.
- Strengthening of capital adequacy and risk management systems.
- Recommendation of 3-tier banking structure.

2. ***Monetary Authority:*** The RBI formulates and implements monetary policy to *control inflation, manage money supply, and ensure adequate credit flow to various sectors of the economy*.
3. ***Currency Printing:*** The RBI prints and manages currency in India, including banknotes *(except for ₹1 note and coins issued under Ministry of Finance, GOI)*
4. The RBI is often referred to as the *"lender of last resort"* (it acts as the final source of funding for commercial banks when they are unable to secure loans from other sources during financial crises).

> In India, currency is printed in ***Nasik, Dewas, Mysore, Salboni*** and the coins are minted in ***Mumbai, Hyderabad, Calcutta, Noida***.

The *Bimal Jalan Committee (2018-19)*, appointed by the RBI, recommended a new Economic Capital Framework (ECF) that enabled transferring surplus reserves to the government while maintaining a Contingency Risk Buffer (CRB) of 5.5%–6.5% of the RBI's balance sheet.

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Types of Money

1. Fiat Money

- It is a type of currency that a government declares as *legal tender, meaning it is authorised by government to be used as a medium of exchange*. It is issued by a central bank and is *not backed* by a physical commodity like *gold or silver*.

2. Fiduciary Money

Fiduciary money is money that is accepted as a medium of exchange due to the *trust that exists between the payer and the payee*. Ex Cheques, tokens/bitcoins.

3. Plastic Money

- Plastic money, also known as electronic money, is a payment method that uses electronic fund transfers instead of cash.
- It includes debit cards, credit cards, and prepaid cards.

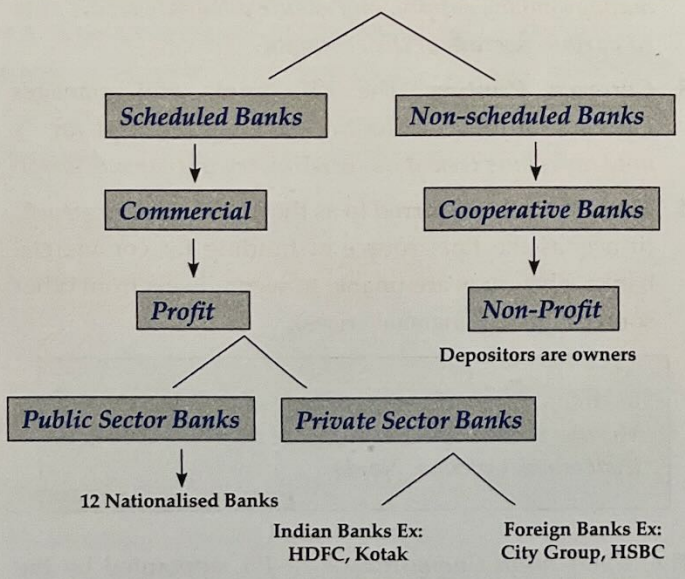
4. Hot Money

- Hot money refers to funds that investors *quickly move between countries or financial markets* to take advantage of short-term opportunities such as *stocks, deposits, bonds, etc.*

Clean Money Policy

- RBI introduced *Clean Note Policy in 1999*, asking the banks to not pass on the *soiled, torn, and scribbled notes to the customer and deposit the same to the RBI.*
- This was introduced under *Section 35A* of the *Banking regulation Act, 1949*.

According to RBI Act 1934, banking system can be classified as



- *State Bank Of India* was the only nationalised bank then, The *14 banks* were nationalised through *The Banking Companies(Acquisition & Transfer Of Undertaking) Act, 1969* with total deposit of more than *50 crore*, later on *6 banks (Andhra Bank,Corporation Bank, New Bank of India, Oriental Bank of Commerce, Punjab and Sind Bank, Vijaya Bank)* were nationalised through, *The Banking Companies(Acquisition & Transfer Of Undertaking) Act, 1980* with a deposit of *more than 200 crore*.

HISTORY OF BANKING SYSTEM IN INDIA

- *Bank of Hindustan* was the first bank to be established in *1770* in *Calcutta*.
- During the British Rule in India, three Presidential Banks: *Bank of Calcutta (1806), Bank of Bombay (1840)*, and *Bank of Madras (1843)* were eventually *merged into a single bank → Imperial Bank of India in 1921*.
- The Imperial Bank of India was later *nationalised* and renamed as *State Bank of India* in *1955*.
- First Indian owned bank is *Allahabad Bank*, established in *1865*.
- *Regional Rural Banks (RRB)* was established as a *statutory body* under *RRB Act 1976* to enhance financial activities in rural areas. E.g. Grameen Banks.
- *Pratham Grameen Bank* was set up on *2nd October 1975* in *Moradabad, Uttar Pradesh* (First one).

In Regional Rural Banks (RRB)

- The *Central Government* holds *50%* ownership in RRBs, making it the largest stakeholder.
- *Commercial banks* that sponsor RRBs hold *35%* ownership and provide financial and operational support.
- The respective *State Government* where the RRB operates holds *15%* ownership.
- They are supervised by *NABARD* and regulated by *RBI*.
- RRBs were set up on the recommendations of the Narsimham Committee on Rural Credit.
- The consolidation of RRBs began in 2005, following the recommendations of the Dr. Vyas Committee (2001)

The Kelkar Committee (1986) recommended strengthening RRBs by increasing their authorized capital to Rs 5 crore and paid-up capital to Rs 1 crore, directing surplus funds into profitable investments. It also suggested merging weak, uneconomic RRBs.

Function Of Commercial Banks

Primary Functions of Commercial Banks:

Accepting deposits from the public (saving, current, and fixed deposits) and providing loans and advances such as cash credit, overdraft, and bill discounting.

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Secondary Functions of Commercial Banks:

Providing agency services (collection of cheques, payment of bills, acting as agent) and general utility services (locker facility, demand drafts, foreign exchange, cards, and online banking).

OTHER FINANCIAL INSTITUTIONS

National Bank of Agriculture and Rural Development (NABARD)

- NABARD was established on *12 July 1982*, on the recommendation of *B. Sivaraman Committee (1979)* through *NABARD Act 1981*.
- *Headquarter*: *Mumbai*

Functions of NABARD

- It offers loans and financial assistance to promote *agriculture growth and rural development*.
- It oversees and regulates the working of *cooperative banks* and *RRBs* to ensure their financial stability.
- Unlike commercial banks, *NABARD does not provide loans or banking services to individuals* (meaning: It does not deal directly with public).
- It provides various rural financing schemes through *PMAY (Pradhan Mantri Grameen Awas Yojana), KCC (Kisan Credit Cards) RuPay Kisan Cards*.

> *In 2015, NABARD had launched initiatives E-Shakti' and 'LEDP (Livelihood and Enterprise Development Program)*

National Housing Bank

- It was established in *1988* through → *Act of 1987*.
- *Headquarter: New Delhi*

Small Industries Development Bank of India (SIDBI)

- It was established on *2nd April 1990*.
- *Headquarter: Lucknow*

Securities and Exchange Board of India (SEBI)

- It was established as statutory body on *12th April 1988* through *SEBI Act of 1992*.
- *Headquarter: Mumbai*
- *Chairman*: *Tuhin Kanta Pandey*

Functions of SEBI

- It safeguard the interests of investors in the securities market.

Insurance Regulatory and Development Authority (IRDAI)

- It was established as a statutory body on *April 2000* through *IRDAI Act of 1999*.
- *Headquarter: Hyderabad*

National Agricultural Co-Operative Marketing Federation Of India Limited (NAFED)

- It was established on *2 October 1958*.
- It is an apex organisation of agricultural produce marketing cooperatives.
- *Headquarter: New Delhi*

Industrial Development Bank of India Limited (IDBI)

- It was established by GOI in 1964 as a subsidiary of the RBI. LIC (Life Insurance Corporation of India) later acquired 51% stake in the bank.
- *Headquarter: Mumbai*

MICROFINANCE INSTITUTIONS (MFI)

- MFIs provide *micro-credit* and other financial services like loan, savings, insurance, and remittances to *low income population*.
- MFIs provide a collateral-free microfinance loan to households having income upto *3 lakh/annum*.
- *Father of Microfinance system: Muhammad Yunus (in 2006, he won Nobel Peace Prize for creating Grameen Bank)*
- *First Micro Finance institution in India: Self Employed Women Association (SEWA) Bank*, which was established in *Ahmedabad* in *1974*.

Business Model of Micro Finance Banks

- The business model of Microfinance Banks revolves around providing small loans and financial services to low-income individuals, primarily in rural area through various schemes and groups.

Self Help Groups (SHG)

- It is a group of *10-20 people Below Poverty Line (BPL)* who come together to find ways to improve their living conditions in rural areas.
- SHGs provide *collateral-free loans* to members at *lower interest rates* than the informal sector.
- SHGs also help *women* and *other marginalized groups* become more self-reliant.

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Joint Liability Groups (JLG)

- It comprises a group of *4-10 people* who come together to apply for a bank loan.
- By forming a JLG, individuals can avail of *collateral-free loans* and expand their businesses without worrying about security or margin.
- This loan is offered to *individuals, tenant farmers, sharecroppers, and small and marginal farmers.*

Pradhan Mantri Mudra Yojana (PMMY) Scheme

- This is a government scheme that promotes financial inclusion by providing *micro-credit or loans to small businesses.*

The loans are categorised into

- ***Shishu:*** *Covering loans upto ₹ 50,000*
- ***Kishor:*** *Covering loans above ₹ 50,000-₹ 5 lakh.*
- ***Tarun:*** *Covering loans above ₹ 5 lakh-₹ 10 lakh.*
- ***Tarun Plus:*** *Covering loans above ₹ 10 lakh-₹ 20 lakh.*

Non-Banking Financial Companies (NBFCs)

- NBFCs are also known as *Non-banking Financial Institutions (NBFIs)*, that offer various banking services but do not have a banking license.
- They are registered under *Companies Act of 1956* and are regulated by RBI under *RBI Act 1934.*
- They *cannot accept Demand Deposits* (like savings/ current accounts) and *cannot issue cheques.*
- NBFCs provide *loans against Gold* and these are called *Gold Loans.*
- *Deposits are not guaranteed in NBFCs.* If an NBFC fails, depositors may lose their money, as there is no government protection.
- They are *not required* to maintain *CRR* and *SLR* like banks.

(* *Explained in the next chapter Pg. 232*)

Non-Banking Financial Company-Micro Finance Institution (NBFC-MFI)

- They are registered under RBI and regulated by RBI.
- They provide micro loans/micro financial services to *low-income individuals, especially in rural areas*, who lack access to formal banking services.
- NBFC-MFIs were established based on the recommendations of the *Malegam Committee (2010)* → also looked after the issues of MFIs.
- As per RBI guidelines, for entities other than NBFC-MFIs, the maximum limit on microfinance loans is *25% of their total assets.*
- To qualify for NBFC-MFI licence they are required to have *75% of their total assets* in the form of microfinance loans *(earlier this was 85%, however the guidelines were revised in 2022)*

Capital Requirements for NBFCs

For *NBFC-MFI (Microfinance Institutions)*, the minimum *Net Owned Fund (NOF)* requirement is tiered based on geography:

General (All over India): Must have a minimum *NOF of 5 crore.*

North-East Region: Requires a lower minimum *NOF of 2 crore* to encourage financial inclusion in that specific area.

Payment & Settlement Act 2007

All payment systems in India (like *UPI, NEFT, RTGS*, and *Credit Cards*) are regulated by the RBI under the Payment and Settlement Systems *Act, 2007.*

Priority Sector Lending (PSL)

- The RBI mandates that banks allocate a specific portion of their lending to sectors that impact large segments of the population.
- ***Commercial Banks (Domestic & Foreign):*** *Must allocate 40% of ANBC (Adjusted Net Bank Credit) to PSL.*
- Regional Rural Banks (RRBs) & Small Finance Banks (SFBs): Have a higher target of 75% of ANBC.
- ***NBFCs:*** Generally, NBFCs do not have specific PSL targets like commercial banks.

Specific Sub-targets:

Agriculture: 18%.
Weaker Sections (SC, ST & Women's): 12%.

- Non-Achievement: If banks fail to meet these targets, the shortfall is deposited into the *Rural Infrastructure Development Fund (RIDF)*, managed by *NABARD.*

Urban Cooperative Banks (UCBs)

- ***They operate under two regulatory bodies:*** *RBI & Registrar of Cooperative Societies (RCS).*

- ***MUDRA: Micro Units Development & Refinance Agency Ltd.***
- ***Launch year: 8 April 2015***
- ***It receives 100% funding from SIDBI.***

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MONETARY POLICY

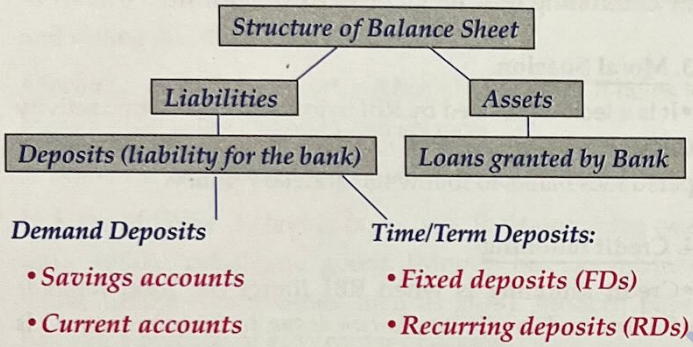
•Monetary policy refers to the regulation of the money supply and interest rates by the RBI to maintain price stability, control inflation, and ensure economic growth.

•RBI uses various monetary policy tools to achieve these objectives, which are categorized into *quantitative* and *qualitative instruments*.

•For the better understanding of Monetary Policy, we first need to learn about Assets and Liabilities of a Bank.

Balance Sheet

•A bank's balance sheet is a *financial statement that shows its Assets* (what the bank owns) and *Liabilities* (what the bank owes to others, including depositors).



Net Demand and Time Liability (NDTL)

•NDTL refers to the total deposits held by a bank, which determines the money available for lending.

•It is an important factor in determining reserve requirements set by RBI, are of two types:

NDTL consist of

1. **Demand Liabilities:** Deposits that can be withdrawn at any time. (E.g. Savings and current accounts).
2. **Time Liabilities:** Deposits with a fixed tenure (E.g. Fixed deposits and recurring deposits).

Reserves Maintained by Banks

•RBI keeps a part of *NDTL as a reserve*. This is done through two mechanisms: *CRR (Cash Reserve Ratio) and SLR (Statutory Liquidity Ratio)*. This is done to ensure that Banks have sufficient vault cash to cater any emergency situation.

Cash Reserve Ratio	*Statutory Liquid Ratio*
Banks must keep this reserve in cash with the RBI.	Banks must keep this reserve in liquid assets like cash, gold, or approved securities.
Banks don't earn interest on money kept as CRR.	Banks earn interest on money kept as SLR.

Monetary Policy Committee (MPC)

•The Monetary Policy Committee (MPC) was established based on the *Urjit Patel Committee's recommendations*.

A total of 6 members were suggested:

•3 members from RBI, that includes *RBI Governor*, *Deputy Governor*, and an *Executive*. The RBI Governor is the chairman.

•3 members from the Government of India.

The MPC meets bimonthly to decide monetary policy actions, such as changes in repo rate and CRR.

MONETARY POLICY TOOLS

Monetary Policy Tools used by RBI

Quantitative Tools

•These tools influence the overall money supply and credit in the economy.

1. *Cash Reserve Ratio (CRR)*
2. *Statutory Liquidity Ratio (SLR)*
3. *Bank Rate (BR)*

•It is an interest rate at which *RBI provides loan to commercial banks for a long-term without keeping any securities/collateral*.

•Higher bank rates make borrowing costlier, reducing money supply and lower bank rates make loans cheaper, increasing liquidity.

4. *Open Market Operations (OMO)*

•It is also called as *sterilization*.

1. *Outright Purchase:* *RBI directly buys government securities* without any kind of repurchase agreement.
2. *Repurchase Obligation (Rere):* When *banks borrow money from RBI*, using government securities as collateral and with a promise of repurchasing them later, it is called as *Repo*. Similarly, when RBI invites bank to deposit their extra funds in RBI in exchange of government securities, it is called as *Reverse Repo*.

"Repo and SDF Special Depository Facility are collectively known as Liquidity Adjustment Facility (LAF)

Special Depository Facility (SDF) is a facility by which banks deposit excess money with the Reserve Bank of India without giving any collateral.

> *Collateral* (गिरवी)
> *Collateral is something valuable that a borrower gives as a guarantee for a loan. If the borrower fails to repay, the lender can take the collateral to recover the money.*

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5. Marginal Standing Facility (MSF)

- MSF is a way for banks to borrow money from the RBI in emergencies, when they don't have enough funds. It allows banks to get *"overnight loans" but at a higher interest rate than the repo rate*.
- If the bank fails to maintain the required *CRR* and *SLR*, it must pay a penalty of *3% above the Bank Rate for each day of default*.
- Under MSF, banks can use *G-Secs within their SLR quota to borrow funds from RBI. Only scheduled commercial banks can access MSF*.

> *Minimum rate below which banks are not allowed to lend money is called as Base Rate.*

- If banks are unable to maintain the required CRR and SLR, they may borrow funds from the other banks in the *Interbank Lending Market*, This borrowing occurs at *Call Money Rate* (it is decided on basis of *RRR* and *MSF*), which is the interest rate charged for *short-term, overnight loans* between banks and other financial institutions.
- Limit: 2% of NDTL.

MCLR (Marginal Cost of Funds Based Lending Rate):

- MCLR is the minimum interest rate below which banks cannot lend, It was introduced by the *Reserve Bank of India* in April 2016 to make loan interest rates more transparent and responsive to policy rate changes.

Money Multiplier (MM)

- The Money Multiplier (MM) is the highest possible extent to which the money supply can increase due to changes in bank deposits.

$$\text{Money Multiplier} = \frac{1}{CRR}$$

> *NBFC and NBFC-MFI need not to maintain CRR and SLR.*

- When *CRR increases*, banks keep more money as reserves. They have less money to lend. Fewer loans mean less money creation. This *reduces the money multiplier and vice versa*.

Monetary Policy and Inflation/Deflation Control

Situation	*RBI Action*	*Effects*	*Policy*
During inflation	Increase in CRR, SLR, BR, RRR, RR	Decrease in money supply	Contractionary/ Tight/Dear/Hawkish Monetary Policy
During deflation	Decrease in CRR, SLR, BR, RRR, RR	Increase in money supply	Expansionary/Easy/ Dovish Monetary Policy

Qualitative Monetary Policy Tools

- These are selective tools used by RBI to control the use and direction of credit in specific sectors of the economy.
- *The central bank limits the amount of loans and advances that commercial banks can give.*

1. Changing Margin Requirements

- The RBI *increases the margin (the amount borrowers must pay upfront) for non-essential sectors to limit excessive borrowing* and reducing it for important sectors like *agriculture* to encourage lending.

2. Consumer Credit Regulation

- RBI *sets rules on loan installments, down payments, and repayment periods in advance*. This helps manage inflation by controlling how much people can borrow.

3. Moral Suasion

- It is a technique used by RBI to influence economic activity through *persuasion* and *implicit threats*. RBI advises or persuades banks to follow its monetary policy.

4. Credit rationing

- Credit rationing is when RBI *limits the total amount of loans* and *credit banks can issue to certain sectors*. It fixes the credit supply for each bank, preventing excessive lending. It also *sets credit limits for different sectors to ensure balanced lending*.

FISCAL POLICY

- Fiscal policy is the government's strategy to manage the economy by adjusting taxes, government spending, and borrowing. *It is used to control inflation or deflation, unemployment, and economic growth*.

When the government wants to control inflation, it can take the following steps

- **Increased Taxes:** *Higher taxes reduce people's disposable income*, leading to lower spending and demand.
- **Lower Subsidies:** *Reducing subsidies makes goods and services more expensive*, discouraging excessive consumption.
- **Lower MSP (Minimum Support Price):** A lower MSP *discourages excessive crop production* and *controls the rise in food prices* by keeping supply in check.

> *• MSP stands for Minimum Support Price, a price set by the government for certain agricultural products.*
> *• Monetary Policy is used by RBI and Fiscal Policy is used by Government.*

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LIQUIDITY

•Liquidity means how easily an asset can be converted into cash without losing its value. Money has the highest liquidity because it can be used immediately for transactions.

Liquidity Order

Cash > Gold > Cheque > Bond

Demand Deposit is more liquid than Term Deposit

Money was invented to solve the issue of barter system .

Limitations of Barter system: *Double Coincidence of Wants, Lack of Divisibility, Lack of Store of Value.*

Function of money are classified into 2 categories

•***Primary :*** *Medium of Exchange,* It can be used for buying and selling goods and services.

•***Secondary:*** *Medium of value (Unit Of Account),* It helps to measure the value of goods and services.

a) Standard of Deferred Payment

b) Store of Value: *Valuable in Nature,* It retains value over time, unlike perishable goods (Money has no intrinsic value, unlike commodities such as gold). Modern paper has value because of government backing.

c) Highly Portable and Durable: Money is easy to carry around and does not degrade over time.

Liquidity Preference theory (Keynesian theory of demand for money)

It states that interest rates are determined by the demand and supply of money, rather than just savings and investment.

The Cambridge Cash Balance Approach

It was developed by *Marshall, Pigou, and Keynes*

It states that the value of money is determined by the demand to hold cash balances (as a store of value) rather than just transaction velocity.

There are Three Reasons Why People Hold Money

Transaction Motive

•This is the most basic reason for holding money. Money is held to facilitate smooth spending on goods and services. ***E.g. people keep cash on hand to pay for regular purchases like groceries, transportation, or bills etc.***

Precautionary Motive:

•Precautionary motive refers to holding money to meet unexpected or emergency expenses. ***such as illness, accidents, or sudden financial needs.***

Speculative Motive (by J M Keynes)

•People hold money to take advantage of investment opportunities or avoid potential losses. ***E.g. buying stocks when the market dips, by being ready to invest when prices are considered favorable.***

The paradox of thrift

It is a *Keynesian economic theory* stating that an individual increase in savings (thrift) during an economic downturn can, collectively reduce aggregate demand and total savings in the economy. As households save more, reduced consumption lowers business revenues, leading to decreased income and ultimately less total savings.

Speculative Demand for Money

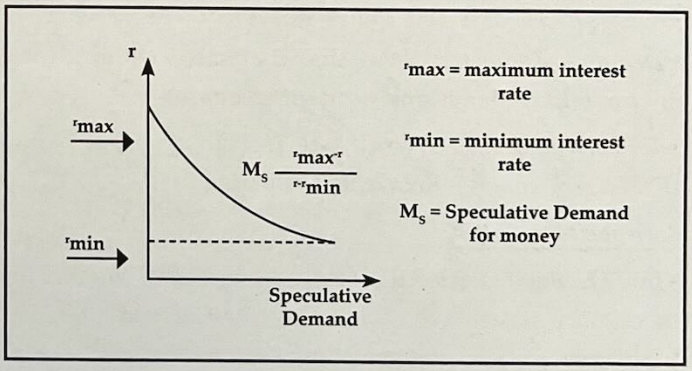
•Speculative demand for money is the ***desire to hold cash or other liquid assets*** for investment purposes, rather than for daily needs.

$$\text{Speculative Demand for Money} \propto \frac{1}{\text{Rate of Interest}}$$

•Speculative demand for money and interest rates share an inverse relationship. As interest rates rise, speculative demand for money falls, and vice versa.

•***When interest rates rise → People prefer to invest in bonds and financial assets instead of holding cash → Speculative demand for money decreases.***

•***When interest rates fall → Returns on investments are low, so people hold more cash instead of investing → Speculative demand for money increases.***



Graph 1: Speculative Demand Curve

"Interest rates are an opportunity cost or 'price' of holding money balance in an economy.

Liquidity Trap

•A liquidity trap is an economic situation *where interest rates are low and people prefer to hold cash instead of spending or investing,* which can lead to any Monetary Policy ineffective.

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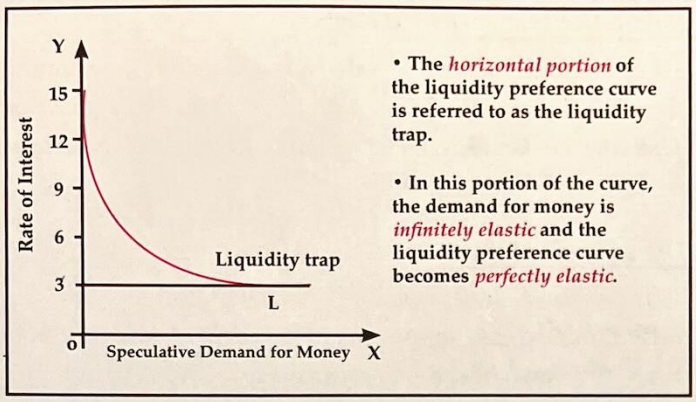

- The *horizontal portion* of the liquidity preference curve is referred to as the liquidity trap.
- In this portion of the curve, the demand for money is *infinitely elastic* and the liquidity preference curve becomes *perfectly elastic*.

Graph 2: Liquidity Trap

Types of Money in our Economy

1. Currency in Circulation

- ***Currency with Banks:*** Money held by banks for daily operations.
- ***Currency with Public:*** Money available for spending by people.

$$CDR = \frac{\text{Money held by public in currency}}{\text{Money held by public in deposits}}$$

During a festival, does the Currency Deposit Ratio (CDR) increases or decreases?

2. Deposits with Banks

Banks hold two types of deposits from customers:

- ***Demand Deposits:*** Deposits that are withdrawable anytime ***(Ex: Savings and Current Accounts)***
- ***Term Deposits:*** They are fixed deposits for a set period ***(Ex: Fixed Deposits, Recurring Deposits)***.

3. Deposits with RBI

- ***Bank Deposits with RBI:*** It includes the CRR, which is the mandatory percentage of a bank's *Net Demand and Time Liabilities (NDTL) that must be kept with the RBI*. This helps in controlling inflation and liquidity in the economy.
- ***Other Deposits with RBI:*** It includes deposits from government institutions, foreign central banks, international financial organisations and some private entities.

4. Postal Deposits

They are similar to bank deposits (Term Deposits and Demand Deposits), but managed by the *Post Office Savings Bank (POSB)*.

MONEY AGGREGATES

- Monetary aggregates *(or Money Supply)* refers to the amount of money in circulation in the economy at a given time. The Reserve Bank of India (RBI) measures it using different monetary aggregates *(M0, M1, M2, M3, M4)*.

Types of Money Supply

Money Aggregates	*Components*
M0	Currency in circulation + Banker's deposit with RBI
M1	Currency with public + Other deposits with RBI + Demand Deposits
M2	M1+ Saving deposits with Post Office savings bank
M3	M1+Net time deposits of commercial banks
M4	M3+Total deposits with Post Office

Points To Note

1. *M0* is called as *High Powered Money/Base Money/ Reserve Money. It is the total Amount of Money printed by RBI.*
2. *M1* is called as *Narrow Money*.
3. *M3* is called as *Broad Money* and *Aggregate Monetary Resource.*

Liquidity order

- The rate at which banks lend to each other to meet *short-term needs (such as fulfilling CRR requirement by RBI)* is called the Interbank Offer Rate, also known as the *Offer Rate.*

London Interbank Offer Rate (LIBOR)

- *LIBOR* served as a base rate for loans and financial products worldwide, including loans, mortgages, etc.
- It was no longer published after *31st December 2021* and was officially replaced with *SOFR (Secured Overnight Financing Rate)* for the *US dollar*.
- The *MIBOR (Mumbai Interbank Offer Rate)* was the Indian version of LIBOR. MIBOR was replaced by the *FBIL-Overnight MIBOR* in *2015*.

"Asia's oldest stock exchange is "Bombay Stock Exchange" established in 1875.

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Money Market *(Short-term Loans for Less than 1 year)*

- *Call Money:* Loans are to be repaid within *1 day*.
- *Notice Money:* Loans are to be repaid in *2-14 days*.

Capital Market *(Long-Term Loans for More than 1 year)*

- They are used for long-term investments, including stocks and bonds.

Treasury Bills *(Issued by RBI)*

- It is also known as *Zero Coupon Securities.*
- They are short-term debt instruments issued by the *GOI through the Reserve Bank of India (RBI)*.
- *T-Bills are issued in three tenure: 91 days, 182 days, and 364 days*
- T-Bills are categorised as money market instruments because they have a *maturity of less than one year*.
- They are always listed at a discount, *no interest is paid*.

Assets

- Assets are resources owned by an individual or entity that hold economic value (reserve loan).

Types of Assets.

1. *Regular Assets:* Regular Assets are financial assets that generate consistent returns over the long term. They typically include loans where both interest and principal are repaid on time.
2. *Stressed Assets:* Stressed assets are loans that are not performing, or are in danger of not performing (when principal + interest rate is *overdue for less than 90 days)*.
3. *Non-performing Assets (NPAs):* It is a loan or advance where the interest or principal payment is *overdue for more than 90 days*.

   Classified as:

   - *Substandard Assets:* Loans that are overdue for more than *90 days but less than 12 months*.
   - *Doubtful Assets:* Loans that are overdue for *more than 12 months*.
   - *Loss Assets:* Loans that are considered uncollectible and have *no chance of recovery*.

Wilful Defaulter

A borrower who has the capacity to repay loans but deliberately chooses not to pay.

Bad Banks

- A bad bank is a financial entity which specialises in *handling bad loans or NPAs*. It buys the NPAs of commercial banks and tries to recover at least a part of the value of such NPAs.

2021 Budget announced two bad banks to help resolve NPAs:

- *National Asset Reconstruction Company Limited (NARCL)*
- *India Debt Resolution Company Limited (IDRCL)*

Banking Regulations and Security Laws

SARFAESI Act, 2002

- *Full Form: Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act.*
- *Purpose:* It allows banks to seize properties of borrowers who fail to repay loans.

Insolvency and Bankruptcy Code (IBC), 2016

- *Objective:* To resolve the *Twin Balance Sheet Problem* (where banks are stressed with bad loans and corporates are stressed with debt).
- It helps in the quick resolution of *financial insolvency*, ensuring that defaulting companies repay lenders in a time-bound manner.
- It initiates the *Corporate Insolvency Resolution Process (CIRP)* for resolving insolvency of companies.
- Under *IBC, 2016*, a moratorium period *(calm period)* of *180 days* is granted when a company undergoes insolvency proceedings *(can be extended to 270 days in certain cases)*.

There are two governing bodies

National Company Law Tribunal (NCLT): Handles the initial insolvency cases.

National Company Law Appellate Tribunal (NCLAT): Handles appeals against NCLT decisions.

INTERNATIONAL BANKING REGULATIONS

Basel Norms

- The Basel Norms, also known as the Basel Accords, are a set of international banking regulations that aim to strengthen the banking system and manage risk.
- *Established by: Central Bank Governors (G-10 countries) in 1974.*
- *Headquarter: BIS (Bureau of International Settlement) office in Basel, Switzerland.*
- The *Basel Committee on Bank Supervision (BCBS)* has issued three sets of regulations which are known as *Basel-I, II, and III*.

Basel-1

- *Introduced in: 1988*
- It focused almost entirely on credit risk.

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- The minimum capital requirement was fixed at ***8% of risk weighted assets (RWA)***.
- India adopted Basel-I guidelines In ***1999***.

Basel-II

- ***Introduced in:*** 2004

Capital Adequacy Ratio ***(CAR)*** Also known as ***CRAR*** (Capital to Risk (Weighted) Assets Ratio). ***It is the ratio of a bank's capital to its risk.***

$$CAR = \frac{\text{Tier1 Capital} + \text{Tier2 Capital}}{\text{Risk Weighted Assets}} \times 100$$

Basel-III

- ***Introduced in: 2010***
- A bank needs to maintain the ***capital adequacy ratio (CAR)*** is to be maintained at ***10.5%***. The minimum Tier 1 ***(Core)*** capital ratio and the minimum Tier 2 ***(Supplementary)*** capital ratio have to be maintained at 6% and 2% of risk-weighted assets respectively and The Capital Conservation Buffer (2.5%).
- India's RBI-mandated CAR is ***11.5%***

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Poverty

• Poverty is a state or condition in which an individual lacks the financial resources and essentials for a basic standard of living. It can have diverse environmental, legal, social, economic, and political causes and effects.

Types of Poverty

1. ***Absolute Poverty:*** A condition where individuals lack basic necessities like food, clean water, shelter, clothing, and healthcare, and education.
2. ***Relative Poverty:*** A condition where individuals have significantly lower income or resources compared to the average income level of their society.
3. ***Subjective Poverty:*** A condition based on personal perceptions of economic well-being, where individuals feel poor, despite their income level influenced by societal comparisons, personal expectations, and psychological factors.

Poverty Estimation

Poverty Gap Index: It is used to measure the depth of poverty by accounting for the extent to which individuals fall below the poverty line.

The World Poverty Clock: It is managed by *World Data Lab*, provides real-time estimates of global poverty.

POVERTY ESTIMATION IN INDIA

• In India, poverty is measured by checking a person's income or consumption level. If their income or spending is less than a set minimum amount, they are considered *Below the Poverty Line (BPL).*

• Poverty estimation in India is carried out by *NITI Aayog's* task force through the calculation of the poverty line based on data captured by the *National Sample Survey Office* (NSSO) under the *Ministry of Statistics and Programme Implementation* (MOSPI).

Pre-Independence Estimation

• *Dadabhai Naoroji* through his book, *"Poverty and Unbritish Rule in India"* made the earliest estimation of poverty line *(₹16 to ₹35 per capita per year).*

• He was the *first person* to give estimation of *National Income of India.*

1. National Planning Committee (1938)

• It was set up by *Subash Chandra Bose* under the *chairmanship of JL Nehru.*

• The National Planning Committee (NPC) of *1938* estimated the poverty line at *₹15 to ₹20 per capita per month.*

• This estimate was based on a minimum standard of living which implicitly included nutritional requirements.

2. The Bombay Plan (1944)

• It was a set of proposals by influential business leaders in Bombay for the development of India.

• *Poverty line was suggested as: ₹75 per capita per year.*

Post-Independence Estimation

1. VM Dandekar and N Rath (1971)

• It was the first systematic assessment of poverty in India, based on *National Sample Survey Office (NSSO)* data.

• It was an *Expenditure based Poverty line estimation.*

• It is adequate to provide *2250 calories per day* in rural and urban areas.

2. Alagh Committee (1979)

• The Planning Committee constituted Alagh Committee under the chairmanship of YK Alagh.

• He constructed a poverty line for rural and urban areas on the basis of *nutritional requirements* and *related consumption expenditure.*

• *Rural: 2400 calories → Rs 49.09 per month*

• *Urban: 2100 calories → Rs 56.64 per month*

3. Lakadawala Committee (1993)

• This committee defined the poverty line on the *basis of household per capita consumption expenditure.*

• The committee used *Consumer Price Index-Industrial Workers (CPI-IW)* and *CPI-AL (Consumer Price Index for Agricultural Laborers)* for estimation of the poverty line.

It made few suggestions:

• Consumption expenditure should be calculated based on calorie consumption as earlier.

• State specific poverty lines should be constructed.

4. Tendulkar Committee (2005)

• Tendulkar Committee was *set up in 2005* to address the shortcomings of previous methods and *submitted its report in 2009.*

• It computed poverty line based on *Purchasing Power Parity* in terms to ₹33 per day.

Recommendations:

• It recommended to shift away from calorie based model and made poverty line broader.

• Incorporation of private expenditure on health and education.

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- It replaced the uniform reference period (URP) with the *mixed reference period (MRP)* to estimate poverty in India.
- ***30 Days Recall:*** For food and frequent items.
- ***365 Days Recall:*** For infrequent non-food items (clothing, footwear, durables, etc.)

According to Tendulkar Committee, the poverty line for 2011-12 was set to:

- ***Rural:*** *₹816 per capita per month.*
- ***Urban:*** *₹1,000 per capita per month.*

According to Planning Commission, the % of people below poverty line is
Rural: 25.7%, Urban: 13.7% } Overall 21.9% (2011-2012)

5. Rangaranjan Committee (2012)

- *Rangarajan committee include three components in poverty baskets: food items, essential non-food items, and behaviorally determined non-food items.*
- In addition to calories intake it also include other nutrients like protein and fat.
- It introduced *Mixed Modified Reference period* (consumption and expenditure was computed on *weekly, monthly, and yearly* basis).

The poverty line was recommended (reports submitted in 2014) as:

- ***Rural:*** *₹972 per capita per month.*
- ***Urban:*** *₹1407 per capita per month.*

Trends in Poverty Reduction

- ***2004-2005:*** *407 million* people were poor *(37.2% in BPL - Rural (41.8%) and Urban (25.7%)*
- ***2011-2012:*** *270 million* people were poor.
- ***1993-94 to 2004-2005:*** Poverty declined by *0.74%* per year.
- ***2004-2005 to 2011-2012:*** Poverty declined by *2.4%* per year.

State-wise Poverty (2011-2012)

- *Highest Poverty Rate: Chhattisgarh (39.9%), Jharkhand (37%), Bihar 33.7%)*
- *Lowest Poverty Rate: Goa (5.09%), Kerala (7.1%).*

Types of Poor

1. ***Usually Poor:*** **They are normally below Poverty line.**
2. ***Churning Poor:*** **They move in and out of poverty line.**
3. ***Occasionally Poor:*** **They are normally above poverty line.**

MULTIDIMENSIONAL POVERTY INDEX (MPI)

- The MPI concept was introduced in *2010* by *United Nations Development Programme (UNDP)* and *Oxford Poverty and Human Development Initiative (OPHI).*
- It uses *10 indicators* over *3 key dimensions*, Education and Standard of living to determine the incidence and intensity of poverty experienced by a population.

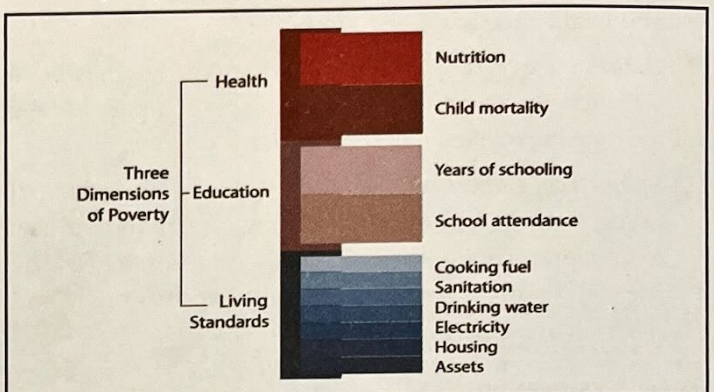


Fig 1: Structure of the Global Multidimensional Poverty Index

- *NITI AAYOG* launched a report in *November 2021→ National Multidimensional Poverty Index (MPI)*, that measures poverty in India using *12 indicators (Extra two indicators are antenatal care and bank account).*

In recent scenario:

- Multidimensional poverty in India has declined since *2005-2006* as measured by National MPI.
- According to the NITI Aayog, *24.82 crore* people have escaped multidimensional poverty in India in the last *9 years.*
- ***Uttar Pradesh:*** Largest number of people lifted out of poverty since 2005-2006.

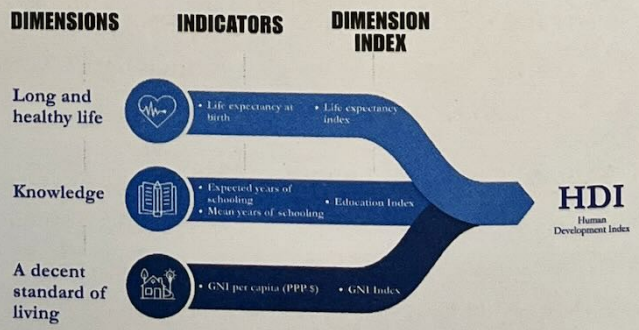
→ *Highest MPI (Most Poverty): Bihar.*

→ *Lowest MPI (Least Poverty: Kerala.*

Human Development Index:

Concept given by: Amartya Sen and Mehboob ul Haq

- It was introduced in 1990
- It is a score between 0 and 1



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Head Count Ratio (HCR)

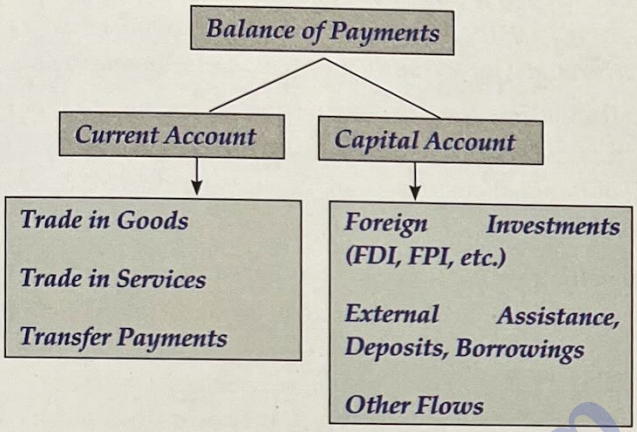
• The head count ratio (HCR) is the *percentage of a population that lives BPL*. It's also known as the poverty headcount index.

$$\text{Head Count Ratio} = \frac{\text{No. of multidimensionally poor people}}{\text{Total population}}$$

ILO basic needs approach:

6 basic Needs: Education, Food, Clothing, Shelter, Health Care, Safe Drinking Water.

BALANCE OF PAYMENT (BOP)



• The Balance of Payment (BoP) is a record of all financial transactions (imports, exports, investments) between a *country and the rest of the world over a specific period.*

• ***Types:*** *Current Account and Capital Account.*

• ***Current Account:*** This account scans all the *incoming and outgoing* of goods and services between countries. It is divided into:

- *Visible items:* Exports and Imports of all *physical goods* such as tea and coffee. These are *tangible* in nature.
- *Invisible items:* Exports and Imports of *services* such as shipping, banking, etc. They are *intangible* in nature.
- *Transfer Payments:* These include *unilateral transfers* such as remittances, foreign aids, etc.

→ *Top receiver of remittances globally: India.*

→ *2nd: Mexico.*

• **Capital Account:** Capital transactions like purchase and sale of assets (non-financial) like lands and properties are monitored under this account.

Types of investment included

- **Foreign Direct Investment (FDI):** It is a *long-term investment* in a *foreign country's physical asset often involving at-least 10% in equity ownership Eg. Walmart acquiring Flipkart.*
- **Foreign Institutional Investment / Foreign Portfolio Investment (FPI):** It is a *short-term investment* in a foreign country's *financial assets often involving less than 10% in equity ownership. Eg. Stocks, bonds, mutual funds, NRI deposits.*

FDI limit in defence sector was enhanced in 2020:

→ *74% through the Automatic.*

→ *Up to 100% through the Government Route.*

Current Account Deficit

• A current account deficit is when a *country imports more than it exports.*

• It includes the balance of trade, net income from abroad, foreign aid, and net current transfers.

Twin Deficit

• A twin deficit occurs when a country has both a *current account deficit* and a *fiscal deficit.*

Balance of Payment Crisis (1991)

• Balance of Payment (BoP) Crisis is also called *currency crisis.* It occurs when a nation is unable to pay for essential imports or repay its foreign debts.

• India faced BOP in *1991* (then *PM: PV Narasimha Rao* and then *Finance Minister: Manmohan Singh*). In response to this, the government introduced broad range of reforms under *LPG* model. (* Mentioned in detail, page no 248-249)

FOREX Exchange Reserves

• Forex Exchange Reserves are *assets held by nation's central banks or monetary authority* holds to provide import cover and protect against external shocks.

The four main components of foreign exchange reserves are:

• *Foreign Currency Assets (FCA).*

• *Gold reserves.*

• *Special Drawing Rights (SDRs)*→ also termed as *Paper gold.*

• *Reserve Tranche Position in the IMF* (required quota to be maintained within the IMF→ *Higher the quota in IMF, higher is the voting power*).

SDR Basket of Currency includes:

• *US Dollar, Euro, Yen (Japan), Yuan (China), Pound (Britain)*

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International Monetary Fund (IMF) and World Bank

- *Headquarter: Washington D.C.*
- The *Bretton Woods Conference in 1944* (officially known as *United Nations Monetary and Financial Conference*) was a gathering of *44 nations with 730 delegates* which resulted in the creation of IMF and World Bank (Twin Organisations).
- Bretton Woods system collapsed in 1971 when the U.S. suspended gold convertibility.
- It also resulted in creation of *International Bank for Reconstruction and Development (IBRD)* which is now a part of World Bank.
- *India ranks 8th in voting power.*

Top Borrowers of IMF

1st: Argentina, 2nd: Egypt, 3rd: Ukraine, 4th: Pakistan, 5th: Ecuador.

The Washington Consensus is a set of 10 free-market economic policy prescriptions developed in 1989 by economist John Williamson for crisis-prone developing nations, particularly in Latin America. Promoted by the IMF, World Bank, and U.S. Treasury, it advocates for privatization, deregulation, trade liberalization, and fiscal discipline to foster growth.

IMF major reports –

- World Economic Outlook
- Global Financial Stability Report
- Fiscal Monitor
- External Sector Report

NOSTRO and VOSTRO

- A Nostro *("our")* account refers to a bank account that a domestic bank holds in a foreign bank in foreign currency →*"Our account/money in your bank"*. It is used for international transactions and trade.
- A VOSTRO *("your")* account refers to a bank account that a foreign bank holds in a domestic bank in the domestic currency → *"Your account/money in our bank"*. It allows foreign banks to conduct transactions in the domestic market.

Exchange Rate Mechanisms

FERA (Foreign Exchange Regulation Act 1973)

- It was introduced with the intent to facilitate and simplify the foreign exchange system in India. *This act was later abolished and replaced by FEMA* since its rigid regulations were hindering India's economic growth.
- Under FERA it was treated as Criminal Offence.

FEMA (Foreign Exchange Management Act 1999)

- FEMA focuses on enhancing India's foreign exchange reserves and emphasises the promotion of foreign trade and payments.
- It decriminalised the criminal offence violation into civil offence making it more user friendly.

Certain Terms to Understand

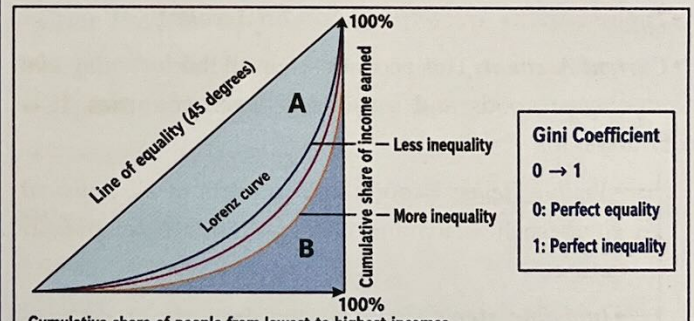
- **Depreciation:** A *decrease in the value of the domestic currency* due to market forces (supply and demand in the forex market). Exporters will benefit in case of depreciation.
- **Appreciation:** An *increase in the value of the domestic currency* due to market forces. This happens when the demand for the domestic currency rises.

"Both Depreciation and Appreciation occurs due to Floating Exchange Rate system (price of country's currency is determined by the market based on supply and demand).

- **Devaluation:** A *government-induced depreciation* of the domestic currency under a fixed exchange rate system. Devaluation of currency will be more beneficial if prices of exports rise proportionately.
- **Revaluation:** A *government-induced appreciation* of the domestic currency under a fixed exchange rate system.

Lorenz Curve

- A Lorenz curve is a graph that shows how *income or wealth is distributed within a population*. It is used to measure inequality and to compare the distribution of income and wealth across different age groups.



**Gini Coefficient or Gini Ratio can be associated with measurement of income inequality in an economy.*

Graph 1: Lorenz Curve

A fixed currency rate is often called pegged currency rate.

Convertibility of Rupee

It means the freedom to convert Indian Rupee into foreign currency and vice-versa for international transactions.

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• ***Current Account Convertibility:***

Freedom to convert rupee for trade transactions (imports, exports, remittances, travel, etc.)

India adopted full current account convertibility in 1994 under IMF Article VIII.

• ***Capital Account Convertibility:***

Freedom to convert rupee for capital transactions such as foreign investment, loans, and purchase of assets abroad.

In India it is partially convertible and regulated by the Reserve Bank of India.

Tarapore Committee

It was constituted in ***1997***, reviewed again in ***2006***, constituted by the ***Reserve Bank of India*** under the chairmanship of ***S. S. Tarapore***, examined the feasibility of introducing ***Capital Account Convertibility (CAC)*** in India and recommended a phased roadmap for allowing free cross-border movement of capital, subject to key macroeconomic preconditions such as ***low fiscal deficit, controlled inflation, strong banking sector with low NPAs, and a stable financial system,*** so that the economy could integrate with global financial markets without exposing itself to excessive external vulnerability.

Exchange Rate System in India

Evolution of Exchange Rate Regime in India

• ***1928–1948:*** Indian Rupee pegged to British Pound Sterling.

• ***Post-1948 (IMF System):*** Rupee pegged to US Dollar under Fixed Exchange Rate System (value fixed by government).

• ***1975:*** India delinked Rupee from Pound Sterling.

• ***1992:*** Introduction of LERMS (Liberalised Exchange Rate Management System) – Dual exchange rate system (partly government controlled and partly market determined).

• ***1993:*** India adopted a Market Determined / Floating Exchange Rate System where demand and supply decide the value of Rupee.

Exchange Rate Indices

NEER (Nominal Effective Exchange Rate):

Weighted average of the domestic currency against a basket of foreign currencies based on trade weights; does not adjust for inflation.

REER (Real Effective Exchange Rate):

NEER adjusted for inflation (price differential); shows the real external value or competitiveness of the currency.

Types of Currency

• ***Hard Currency:*** A stable and widely accepted currency with strong value in international trade (e.g., USD, Euro).

• ***Soft Currency:*** A weak and unstable currency that is not widely accepted globally.

• ***Hot Currency:*** Currency that moves quickly between countries for short-term profit due to interest rate or exchange rate changes.

• ***Heated Currency:*** Currency under heavy demand or speculation in the foreign exchange market.

• ***Cheap Currency:*** A currency whose value has depreciated (low exchange value) compared to others.

• ***Dear Currency:*** A currency whose value has appreciated (high exchange value) compared to others.

Base Erosion and Profit Shifting (BEPS)

Base Erosion: Establishing shell companies in different jurisdiction to break audit trail and separate the money from source.This involves reducing the level of taxable profits within a specific high-tax jurisdiction.

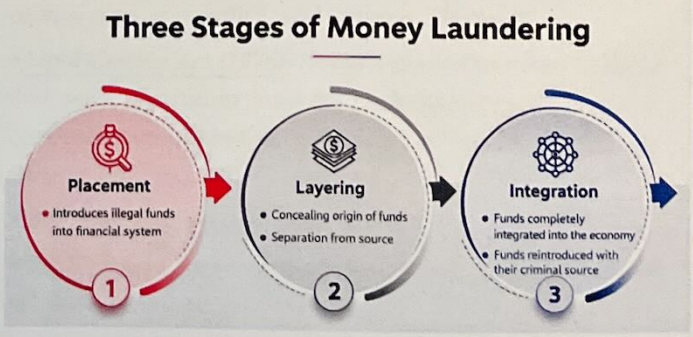
Profit Shifting: This is the actual movement of those "eroded" profits from a high-tax jurisdiction to a low or no-tax jurisdiction, such as the Cayman Islands or Bahamas, where there is little to no actual economic activity.

Round Tripping:

Round tripping refers to the process where domestic black money is sent abroad and then brought back into the country as foreign investment (FDI) through shell companies or tax havens to make it appear legitimate.

FATF (Financial Action Task Force)

HQ: Paris, France
Founded: July,1989 [G7]
Sets global standards to combat money laundering,terrorist financing.



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Shell Company

A shell company is a corporate entity that exists only on paper with little or no real business operations, often used to hold assets, route funds, or conceal the real ownership of money.

Minimum Alternate Tax (MAT)

- It is a provision under Section 115JB of the Income Tax Act, 1961, ensuring companies that claim high exemptions/ incentives still pay a minimum tax. It applies when the normal tax liability is less than 15% of their book profit (plus surcharge/cess).
- ***Concept:*** Companies sometimes reduce taxable income using incentives (like depreciation, SEZ benefits, etc.). MAT ensures they pay at least a minimum tax based on "book profit" (profit as per financial statements), not just taxable income.
- ***Applicability:*** Applies to all domestic and foreign companies.
- ***Calculation:*** Book profit is calculated according to the Companies Act 2013.
- ***Purpose:*** To prevent "zero-tax" companies from avoiding tax, even if they are profitable.

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FIVE-YEAR PLANS

Pre-Independence

The Visvesvaraya Plan (1934)

- *India's earliest blueprint for planned economic development,* focusing on industrial growth and state-guided planning to rapidly increase national income.
- It formally titled *Planned Economy for India 1934,* was the *first* systematic economic planning proposal for India before independence.

National Planning Committee (1938)

- It was formed by *S.C. Bose.*
- *1st Chairman: J.L. Nehru.*
- It was the first attempt to develop a National Plan for India.

Bombay Plan (1944)

- *"A Plan of Economic Development for India"* → popularly known as Bombay Plan. It was prepared by India's leading capitalists like J.R.D Tata.
- It was published in two parts: First part *(released in 1944)* and Second part *(released in 1945).*

Gandhian Plan (1944)

- The plan emphasized on *"decentralised economic structure"* for India with *"self-contained villages".*

Peoples Plan (1945)

- It was formulated by M.N. Roy, Chairman of the *Post-War Reconstruction Committee of Indian Trade Union.*

Sarvodaya Plan (1950)

- It was formulated by *Jaiprakash Narayan* (formed Congress Socialist Party in 1934). It was a sort of the *first blueprint* of the planned development of Independent India.

Post-Independence (1947)

- The concept of five-year plans was borrowed from the *USSR* (The Union of Soviet Socialist Republics) → *Joseph Stalin* introduced it in *1928* to industrialize the Soviet Union.

Introduction in India

- The Planning Commission of India was set up in *1950* that prepared the Five-Year Plan.

Pranab Mukherjee served as the Vice Chairman of Planning Commission.

The goals of the five year plans were:

1. *Growth:* Growth in terms of GDP.
2. *Modernisation:* Integration of new technology in the economy.
3. *Self-reliance:* Inward-looking trade strategy (domestic production instead of importing goods).
4. *Equity:* Development of all.

- The Five-Year Plans not only specify the objectives to be attained in the 5 years of a plan but also what is to be achieved over a period of *20 years*. This long-term plan is called *"perspective plan".*

During Independence, about 75% of the country's population was dependent on agriculture.

First Five-Year Plan (1st April 1951)

- *At independence, India was largely agricultural. The industrial sector contributed only 13% to GDP in 1950–51.*

- *Target Growth Rate: 2.1%*
- *Achieved: 3.6% (Successful)*

- *Duration: 1951-1956.*
- *Based on: Harrod-Domar Model.*
- *Key Focus:* Agriculture and Rural Development (Primary Sector).
- It was presented by *India's first PM→JL Nehru.*

Major Irrigation Projects

- *Bhakra Nangal Dam (Sutlej River)*
- *Hirakud Dam (Mahanadi River)*
- *5 IITs were also established (IIT Kharagpur (1951) was first IIT to be established).*
- *Nagarjuna Sagar Dam (Krishna River)*

Reforms Introduced in Agriculture

- *Policy of "land of tiller"*: It was a land reform that gave land ownership to farmers who actually worked on it, instead of landlords. It aimed to end the zamindari system, reduce rural inequality, and empower farmers.
- *Land Ceiling Act (1976)*: It was a land reform law in India that set a maximum limit on land ownership to prevent concentration of land in the hands of a few and distribute surplus land to landless farmers.
- *High yielding variety (HYV) seeds.*
- *1952 - Community Development Program* for overall *rural development.*

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Second Five-Year Plan

(Then PM: JL Nehru)

- *Duration: 1956-1961.*
- *Based on: P.C. Mahalanobis Model.*
- *Key Focus:* Development of basic and heavy industries → It stressed more on *Rapid industrialisation.*
- The *Industrial Policy Resolution of 1956 (2nd IPR) served as the foundational policy* for India's Second Five Year Plan.
- It was criticized for heavy dependence on foreign loans for *machinery imports by BR Shenoy.*
- *SSI (Small scale industries)* were given protections, incentives in this plan.

- *Target Growth Rate: 4.5%*
- *Achieved: 4.3%*
- *(Moderately Successful)*

About P.C. Mahalanobis

- *He is considered as Chief Architect of Indian Planning.*
- *On his Birth Anniversary → 29 June, Statistics Day is celebrated.*
- *Founded: Indian Statistical Institute, Kolkata*
- *He started a journal name Sankhya.*

Planning in the real sense in India began with the 2nd Five Year Plan (1956-1961)

Three Steel Plants were setup:

- *Rourkela Steel Plant (RSP): Odisha (with German collaboration).*
- *Durgapur Steel Plant (DSP): West Bengal (with British collaboration).*
- *Bhilai Steel Plant (BSP) Chhattisgarh (with USSR collaboration).*

1st steel plant of India: TISCO (Jamshedpur, Jharkhand.

Third Five-Year Plan

- *Duration: 1961-1966.*
- *Based on: Gadgil Formula.*
- *Primary objective: Allocation of central assistance for state plans*
- *Key Focus:* Self-reliant and self-generating economy.
- *Reasons for its failure: Sino-Indian War (1962),* followed by the *Indo-Pakistan War (1965)* → diverted the focus towards defense spending, alongside *severe droughts* during the plan period.
- *PL 480 Scheme:* India imported wheat from the USA under this scheme to alleviate hunger and poverty.

- *Target Growth Rate: 5.6%*
- *Achieved: 2.8% (Failure)*

Lal Bahadur Shastri was the PM of India during Indo-Pak War. He raised the slogan "Jai Jawan Jai Kisan" when India went to war with Pakistan.

Establishment of Various Institutes

- *Food Corporation of India (FCI): 14th January 1965.*
- *Commission for Agricultural Costs & Prices (CACP): 1st January 1965.*
- *Industrial Development Bank of India (IDBI): 1st July 1964.*
- *Unit Trust of India (UTT): 1963 (by an Act of Parliament)→ Established in 1st February 1964.*

Plan Holiday

- *A break in Five-Year: 1966-1969* → due to economic strain caused by the war and other factors like severe drought.
- India focused on *"New Agriculture Strategy"* or *"Green Revolution"* → widespread distribution and *adoption of HYV seeds.*
  - *1st phase (Mid 1960s-1970s).*
  - *2nd phase (Mid 1970s).*

1971: Bangladesh Liberation War

Fourth Five-Year Plan *(Then PM: Indira Gandhi)*

- *Duration: 1969-1974.*
- *Based on: Gadgil Formula/Rudra-Allen Model.*
- *Key Focus:* Growth with stability and the move toward self-reliance.

- *Target Growth Rate: 5.6%*
- *Achieved: 3.3% (Failure)*

Key Initiatives

- Family Planning Programme was introduced.
- 14 major banks were nationalised *(1969).*
- *The Monopolies and Restrictive Trade Practices (MRTP) Act, 1969,* was implemented.
- First Underground Nuclear Test conducted–
  - *PM: Indira Gandhi*
  - *President: V. V. Giri*

→*"Smiling Buddha" (1974).*

- Drought Prone Area Programme *(1973-1974).*

Fifth Five-Year Plan *(Then PM: Indira Gandhi)*

- *Duration: 1974-1978.*
- *Based on: D. P. Dhar Model.*

- *Target Growth Rate: 4.4%*
- *Achieved: 4.8%*
- *(Moderately successful)*

Key Focus

- Employment and Poverty alleviation *("Garibi Hatao" slogan given by Indira Gandhi)*
- Attainment of self-reliance.
- *Minimum Needs Programme (1974)* was introduced which aimed to provide basic needs to poor and unreserved.

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• *20 points programme (1975)* was launched that aimed to reduce poverty and improve quality of life.

• Regional Rural Banks (RRBs) were set up *(1975)*.

• *Hill Area Development Programme* was initiated.

Rolling Plan

• It was introduced by *Janata Party/Morarji Desai* government.

• Duration: *1978-1980*.

Key Focus

• Increase in the country's GDP, employment and agricultural production.

Sixth Five-Year Plan *(Then PM: Indira Gandhi)*

• *Duration: 1980-1985.*

- *Target Growth Rate: 5.2%*
- *Achieved: 5.7% (Successful)*

Key Focus

• Increase in National Income.

• Modernisation of technology.

• Decrease in poverty and unemployment (schemes for transferring skills *(TRYSEM→Training Rural Youth for Self-Employment)* and seets *(IRDP → Integrated Rural Development Programme)* and providing slack season employment *(NREP→ National Rural Employment Program)*.

• Establishment of *NABARD* (National Bank for Agriculture and Rural Development) in *1982*.

• *Rural Landless Labour Employment Guarantee Programme (RLEGP)* was launched on *15 August 1983*.

Hindu Rate of Growth (1978) → signifying low economic growth.

• *Concept given by: Prof. Raj Krishna*.

• From 1960-1980, India has experienced a slow economic growth rate.

Seventh Five-Year Plan *(Then PM: Rajiv Gandhi)*

• *Duration: 1985-1990.*

- *Target Growth Rate: 5%*
- *Achieved: 6% (Successful)*

Key Focus (FWP)

• Accelerating food grain production → *Food*.

• Generating employment opportunities → *Work*.

• Increasing economic productivity through "Social Justice" → *Productivity*.

• *Jawahar Rozgar Yojana* was introduced in *1989* by merging *NREP* (National Rural Employment Programme) and *RLEGP* (Rural Landless Employment Guarantee Programme).

• *Small and Cottage Industries* received major attention for creating jobs.

Annual Plans *(1990-1992)*

Department of Biotechnology was set up by GOI in Seventh FYP.

• *No Five-Year Plan* due to political uncertainty

• *Balance of Payments (BoP) Crisis (1991)* that led to beginning of ***L*** (Liberalisation), ***P*** (Privatisation) and ***G*** (Globalisation) reforms.

Eight Five-Year Plan (Then PM: PV Narasimha Rao)

• *Duration: 1992-1997.*

- *Target Growth Rate: 5.6%*
- *Achieved: 6.8%*
- *(Highly Successful)*

Key Focus

• The 8th FYP initiated the structural adjustment policy

.

• New Indicative Policy.

• Economic and Fiscal reforms were seen.

• Share of Public sector declined (License Raj ended).

• It focused on Human Development.

• Sector for focus for employment generation : Horticulture, Animal Husbandry, Fishery, Small scale industries.

The Eighth FYP could not take off in 1990 due to the fast changing political situation at the Centre and the years 1990-91 and 1991-92 were treated as Annual Plans. The Eighth Plan was finally launched in 1992 after the initiation of structural adjustment policies.

Some 65% of the country's population continued to be employed in agriculture even as late as 1990. Between 1950 and 1990, GDP contributed by agriculture declined significantly but not the population depending on it (67.5% 1950 to 64.9% by 1990).

Ninth Five-Year Plan *(Then PM: Atal Bihari Vajpayee)*

• *Duration: 1997-2002.*

- *Target Growth Rate: 6.5%*
- *Achieved: 5.4% (Failure)*

Key Focus

• Growth with social justice and equality.

• After 9th Five-Year Plan, there was not much focus on public sector.

• Pokhran II - Operation Shakti (May1998)

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Tenth Five-Year Plan *(by Atal Bihari Vajpayee and Manmohan Singh)*

- *Target Growth Rate: 8%*
- *Achieved: 7.6% (Failure)*

- *Duration:* 2002-2007.
- *National Horticulture Mission (NHM)* was promoted by government.
- *Jute Technology Mission* was introduced.
- Introduction of *Micro Irrigation Programme*.

Eleventh Five-Year Plan

- *Target Growth Rate: 9%*
- *Achieved: 8% (Failure)*

- *Duration:* 2007-2012.

Key Focus

- Towards rapid and more inclusive growth.
- Global financial crisis overlapped with the Five-Year Plans.

Twelfth Five-Year Plan *(Then PM: Manmohan Singh)*

- *Duration:* 2012-2017.
- *Key Focus:* Towards faster, more inclusive and sustainable growth.

- *Target growth: 8%*

NITI AAYOG

NITI AAYOG chairman: Prime Minister of India.

- In *2014,* the Planning Commission was replaced with NITI AAYOG and Five-Year Plans were discontinued.
- NITI AAYOG (non-constitutional body) was set up on: *1st Jan 2015.*
- It is a *policy think tank for the GOI.*
- It designs and recommends policies and programs for India's development.
- It publishes reports on a variety of topics, including fiscal health, education quality, and water management.

(NITI* = National Institution for Transforming India)

INDUSTRIAL POLICY RESOLUTION (IPR)

- Industrial Policy Resolutions (IFRs) are policy frameworks set by the Indian government to regulate industrial growth, define the role of the public and private sectors, and promote economic development.

1st IPR, 1948

- *First official industrial policy of independent India.*
- *Led by: Dr. Shyama Prasad Mukherjee* (Industry & Commerce Minister).
- It declared the Indian economy as *Mixed Economy.*

Industries were divided industries into 4 categories:

1. *Strategic Industries (Public Sector):* Railways, defense, atomic energy.
2. *Basic/Key Industries (Public-Cum-Private Sector):* Coal, steel, aircraft, telecommunications.
3. *Industries Requiring Regulation and Control (Controlled Private Sector):* Sugar, cement, textiles.
4. *Other Industries (Private and Cooperative Sector):* Consumer goods and small-scale industries.

- The *start of License Raj* → Government control over industries through licensing.
- It laid the foundation for public sector dominance in key industries.

** The Karve Committee, also known as the Village and Small-Scale Industries Committee, was established by India's Planning Commission in 1955 under the chairmanship of Dattatreya Gopal Karve. It aimed to promote rural industrialization, employment, and balanced economic growth during the Second Five-Year Plan by supporting small-scale industries and local, labour-intensive production.*

2nd IPR, 1956

- It also known as the *"Economic Constitution of India"*.
- Main Objective of Industrial Policy of 1956 was *growth with equity.*
- It is a framework for socialist industrial growth in India.

Commanding Heights Doctrine (coined by Vladimir Lenin in 1922)

It refers to the state of complete control over the vital industries (such as *heavy industries*, *mining* and *infrastructure*) and it was adopted.

Divided industries into three schedules

- *Schedule A (17 Industries-Public Sector Monopoly)* → Aviation, Atomic energy, Railways, Arms and Ammunition, Steel and Iron etc.
- *Schedule B (12 Industries - Public & Private Sectors)*→ Aluminium, Machine tools, Chemicals etc.
- *Schedule C (All Other Industries-Private Sector)* → Consumer goods, Textiles, Automobiles etc.

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Evolution of IPR policy 1956 led to formation of Maharatna companies.

Classifications of Central Public Sector Enterprises (CPSEs) in India

Maharatna Companies (Total-14)

Definition: The highest status, given to large CPSEs with significant global presence.

Criteria: Must have Navratna status, be listed on Indian stock exchanges, and have a 3-year average annual turnover of ₹25,000+ crore, net worth of ₹15,000+ crore, and net profit of ₹5,000+ crore.

- They can invest up to ₹5,000 crore or 15% of their net worth in a single project without government approval.

Examples: NTPC, BHEL, HAL

Navratna Companies (Total-26)

Definition: Mid-sized CPSEs with competitive advantages.
Criteria: Must be a Miniratna Category I or Schedule A company and have a 'Navratna' score of 60 or more (out of 100)

Autonomy: Can invest up to ₹1,000 crore or 15% of their net worth without government approval.

Examples: BEL, Engineers India Limited

Miniratna Companies (Total approx.-73)

Definition: Smaller, profitable CPSEs.
Category I: Made profit for the last 3 years consecutively or a pre-tax profit of ₹30 crore or more in at least one of the three years.

Category II: Made profits for the last 3 years continuously and have a positive net worth.

Examples: Airport Authority of India, Bharat Dynamics Limited

3rd IPR. 1977 *(extension of 1956 Policy)*

- Introduced by *Morarji Desai* Government (Janata Party).

Key Features

- It emphasised growth of *Small-Scale Industries (SSI)*.
- Introduced the *"Tiny Unit"* concept → Small enterprises with investments below *₹1 lakh*.
- Restrictions on *Multinational Corporations (MNCs)*→ Focus on self-reliance.

4th IPR. 1980

- It was introduced by *Indira Gandhi* Government.

Key Features

- Shifted focus back to heavy industries.
- Encouraged foreign technology transfer and investment → *FERA Act of 1973*.
- *Monopolistic and Restrictive Trade Practices (MRTP) Act, 1969* was amended to remove the threshold limits of assets in respect to MRTP companies.
- Investment limit for tiny unit increased to *₹2 lakhs*.

Industrial Policy Resolution (IPR), 1991 – Economic Liberalisation

Background

The Industrial Policy, 1991 marked a structural shift in *India's economy from an inward-looking (closed) system* to an outward-oriented (open) economy.

It was introduced under *P. V. Narasimha Rao*, with reforms led by *Dr. Manmohan Singh*, during the 1991 *Balance of Payments crisis*.

Economic Orientation: Before vs After 1991

Before 1991 – Inward-Looking Economy

An inward-looking strategy, is a trade and economic policy that prioritizes domestic production over foreign imports to achieve self-reliance. It involves high tariffs, quotas, and subsidies to protect local industries from international competition. It often leads to inefficiencies and lack of innovation.

- *License Raj* (strict government control)
- *Public Sector Dominance*
- *High import barriers* (tariffs & quotas)
- *Restricted FDI*
- Import substitution strategy
- *Result:* Low competition, inefficiency, slow growth

1991 Reforms – Transition (LPG Model)

Liberalisation: Refers to the reduction of government regulations, licenses, and restrictions on industrial growth and international trade, thereby freeing up markets.

Privatisation: Involves shifting ownership or management of government-owned enterprises (public sector units) to private entities, enhancing efficiency/competitiveness and reducing state burden.

To implement the privatization objective of the 1991 LPG reforms, the government later established DIPAM (Department of Investment and Public Asset Management, earlier known as the Department of Disinvestment) under the Ministry of Finance to manage disinvestment and reduce government ownership in Public Sector Enterprises.

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Types of disinvestment

Minority Disinvestment: The government retains a majority stake (usually > 51%) and management control, selling only a small portion to public/institutional investors.

Majority Disinvestment: The government reduces its stake below 51%,giving majority control to private or other entities.

Strategic Disinvestment: The sale of a substantial portion of government shareholding (often 50% or more) along with the transfer of management control to a private entity.

Complete Privatization (Full Exit): A type of strategic sale where the government sells 100% of its equity, fully exiting the enterprise.

Globalisation: Integrates the national economy with the global economy through increased trade, foreign investment (FDI), and free movement of goods and technology across borders

Key Measures

- End of License Raj (except few industries)
- Disinvestment in PSUs
- FDI liberalisation (automatic route)
- Reduction in public sector monopoly
- Greater role of market forces

Important Macroeconomic Reforms

- *Rupee Devaluation (1991) in two stages:* 9% (July 1) + 11% (July 2)
- Fiscal Deficit (1990–91): ~10% of GDP
- Anti-Dumping Duty: Protects domestic industries
- HDFC Bank – First private sector bank after liberalisation

After 1991 – Outward-Oriented Economy

Outcomes:

Increase in FDI inflows (major benefit of FDI for developing countries like India - Access to technology and employment).

Growth of private sector

- Rise in competition and efficiency.
- India moved from Import Substitution Industrialization.
- (ISI) to Export-Oriented Industrialization (EOI)
- Global economic integration.
- Flow of capital, technology, and services.
- Emergence of BPO (Business Process Outsourcing) sector.
- India adopted Managed floating exchange rate.

Structural Changes in Economy:-

India's service sector became the primary driver of GDP, with its share rising from around 39% in 1991-92 to over 55-60% in recent years.

Share of agriculture in India's GDP has experienced a steady, long-term decline, dropping from nearly 30% in 1990-91 to around 15–18% in recent years.

Manufacturing sector share in GDP has largely stagnated.

Joint Sector

- Joint Sector refers to a form of partnership between the public sector (government) and the private sector.
- *Dutta Committee (1973)* recommended the establishment of Joint *Venture Sector* in Indian Industry.

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INDICES

Financial and Development Indices

Financial Inclusion Index (FI-Index)

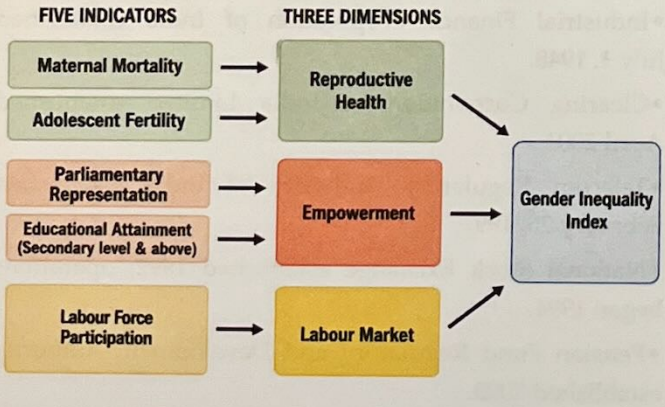
- ***Published by:*** Reserve Bank of India (RBI)
- ***Frequency:*** Annual (released in July)
- ***Purpose:*** Measures progress across three parameters: Access (35%), Usage (45%), and Quality (20%).
- ***Score Range:*** 0 = Complete financial exclusion; 100 = Full financial inclusion.

Fiscal Health Index (FHI)

- ***Published by:*** NITI Aayog.
- ***Purpose:*** Evaluates fiscal health of Indian states and promote transparency in state finances.
- ***Data Source:*** Comptroller and Auditor General of India (CAG)
- ***Key Indicators:*** Quality of expenditure, revenue mobilization, fiscal prudence, debt index, fiscal sustainability.

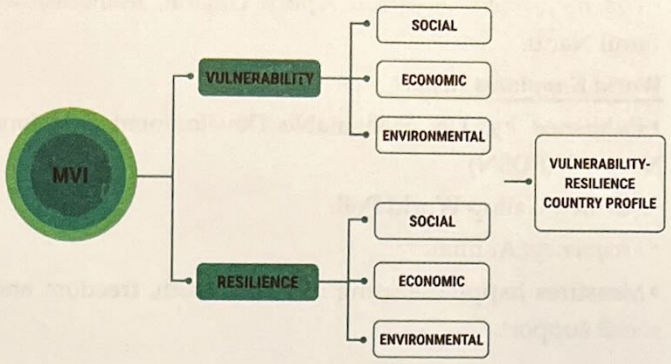
Gender inequality index

- It is Published by ***UNDP***
- It measures gender disparities across ***three*** dimensions: reproductive ***health, empowerment, and labour market participation***.
- Lesser the value of GII= Better the performance.



Multidimensional Vulnerability Index (MVI)

- ***Launched by:*** United Nations General Assembly.
- ***Year:*** August 2024
- ***Purpose:*** Measures structural vulnerability and lack of resilience in developing countries, especially Small Island Developing States.



India Innovation Index

- ***Published by:*** NITI Aayog.
- ***Purpose:*** Evaluates innovation ecosystem of Indian states and Union Territories and promotes competitive federalism.

Environmental Performance Index (EPI)

- ***Published by:*** Yale University and Columbia University.
- ***Partner:*** World Economic Forum (WEF)
- ***Frequency:*** Biennial.
- ***Purpose:*** Measures environmental health and ecosystem vitality and tracks progress toward Sustainable Development Goals.

Corruption Perception Index (CPI)

- ***Published by:*** Transparency International.
- ***Frequency:*** Annual.
- ***Scale:*** 0 = Highly corrupt; 100 = Very clean.
- Ranks countries based on perceived public sector corruption.

World Competitiveness Index

- ***Published by:*** International Institute for Management Development (IMD)
- ***Frequency:*** Annual.
- Measures global economic competitiveness.

World Press Freedom Index

- ***Published by:*** Reporters Without Borders (RSF)
- ***Frequency:*** Annual.
- Measures the level of press freedom worldwide.

School Education Quality Index (SEQI)

- ***Published by:*** NITI Aayog.
- ***First released:*** September 2019.
- Evaluates state performance in school education.

Export Preparedness Index (EPI)

- ***Published by:*** NITI Aayog.
- ***Launched:*** August 2020.
- Ranks Indian states based on export readiness.

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• *Top performers in initial report:* Gujarat, Maharashtra, Tamil Nadu.

World Happiness Report

• *Published by:* UN Sustainable Development Solutions Network (SDSN)

• *Partner:* Gallup World Poll.

• *Frequency:* Annual.

• Measures happiness using income, health, freedom and social support.

MAJOR ECONOMIC REPORTS

Reports published by MoSPI

• Periodic Labour Force Survey (PLFS) by National Statistical Office (NSO)

• Monthly Infrastructure Performance Review.

Reports published by RBI

• Financial Stability Report.

• Handbook of Statistics on Indian Economy.

Global Gender Gap Report

• Published by World Economic Forum (WEF)

International Economic Institutions and Agreements

World Trade Organization (WTO)

A global organization that regulates international trade and promotes rules - based trade among nations.

General Agreement on Tariffs and Trade (GATT)

• Signed in 1947.

• Reduced tariffs and trade barriers

• Replaced by WTO in 1995

General Agreement on Trade in Services (GATS)

• Extends global trade rules to services

• *Four modes:* cross-border supply, consumption abroad, commercial presence, movement of natural persons.

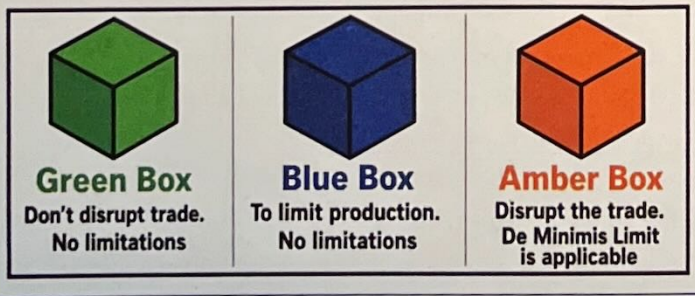
Agreement on Agriculture (AoA)

• Effective from 1995 (WTO Agreement)

• *Objective:* *Reduce trade-distorting agricultural subsidies*

Types of Subsidies:

1. Green Box *2. Blue Box* *3. Amber Box*



Trade Protection Measures

• Anti-dumping duty imposed on imports priced below normal value.

• Countervailing duty imposed to offset export subsidies.

Major Government Initiatives

• Startup India launched in 2016 under DPIIT.

• Mission Antyodaya adopted in Union Budget 2017-18.

• PAT scheme launched in 2012 by Bureau of Energy Efficiency.

• Make in India launched September 25, 2014.

• POSHAN Abhiyaan launched March 8, 2018.

• Service Exports from India Scheme operated 2015–2020.

Infrastructure Initiatives

• National Infrastructure Pipeline launched in 2020.

• Sagarmala Programme launched in 2015.

• Bharatmala Pariyojana launched in 2017.

Sectoral Missions

• National Technical Textiles Mission launched in 2020 by Ministry of Textiles.

• *Budget:* ₹1480 crore till 2025–26.

Financial Platforms

• Trade Receivables Discounting System (TReDS) helps MSMEs discount invoices and access quick liquidity.

Financial and Regulatory Institutions

• Industrial Finance Corporation of India established July 1, 1948.

• Clearing Corporation of India Limited established April 2001.

• Telecom Regulatory Authority of India established February 20, 1997.

• National Stock Exchange established 1992; operations began 1994.

• Pension Fund Regulatory and Development Authority established 2003.

Investment and Real Estate Regulation

• Foreign Investment Promotion Board established 1991 and abolished May 24, 2017.

• FDI approvals now processed through Foreign Investment Facilitation Portal under DPIIT.

• Real Estate (Regulation and Development) Act enacted in 2016.

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Public–Private Partnership (PPP)

A long-term contract between government and private sector to deliver public assets or services while sharing risks.

- Examples include Eastern Peripheral Expressway, Delhi–Meerut Expressway and Chenani–Nashri Tunnel.

Types of Projects

- *Greenfield:* new infrastructure built on unused land
- *Brownfield:* upgrading or renovating existing infrastructure

ECONOMIC COMMITTEES

- Raja Chelliah Committee recommended reforms in central taxation.
- Kelkar Committee (2002–03) recommended simplification of direct taxes.
- Kelkar Committee (2015) recommended reforms in PPP framework.
- R. N. Malhotra Committee (1993) recommended insurance sector reforms.
- Deepak Parekh Committee (2008) focused on affordable housing.

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